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Korea Economic Outlook

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Korea Economic Outlook

Headwinds from the Middle East, Tailwinds from Chips

2026. 5.

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Contents

Key Assumptions of the Outlook

Executive Summary

Macroeconomic Conditions and Outlook

1. Domestic and International Economic Conditions 1

Global Economy 1

Korea's Economy 14

Main Premises of the Baseline Outlook 21

2. Macroeconomic Outlook for Korea 22

Economic Growth 22

Current Account 37

Prices 39

Employment 41

3. Risk Assessment 43

Key Risks to the Outlook 43

Distribution of Growth Projections by Market Participants 43

Scenario Analysis 44

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Power Supply and Demand Conditions in Taiwan 7

Review of Global Crude Oil Inventories After the Outbreak of the Middle East Conflict 12

The Impact of Disruptions in Construction Materials Supply and Higher Oil Prices on Construction Investment 25

Comparison of Korea and Taiwan's Exports of Semiconductors and Related Items 33

Box Quarterly Forecasts for the One-Year-Ahead Horizon 47

Key Assumptions of the Outlook

☐ **[Middle East Situation]** Following the U.S.–Iran provisional ceasefire in early April, with negotiations on the end of hostilities and the reopening of the Strait of Hormuz currently underway, military tensions in the region are assumed to ease gradually as the negotiations advance.

- Transit through the Strait of Hormuz, currently at around 10% of pre-war levels, is assumed to recover gradually to around 60% by Q4*.

  * Even after the strait is reopened, full normalization of logistics is expected to take considerable time, given mine clearance requirements, transit safety concerns, and insurance constraints.

- Under these assumptions, Brent crude is assumed to rise to an average of USD 103/barrel in Q2 before easing to around USD 95/barrel in H2.

☐ **[U.S. Tariff Policy]** U.S. tariffs on Korea are assumed to be maintained at current levels (temporary 10%*, autos 15%, steel 50%, etc.) until July, when an alternative tariff is imposed**, bringing rates back to the levels that prevailed before the February 20 ruling that invalidated the reciprocal tariffs.

  * In the February projection, it was assumed that the U.S. government would raise the temporary tariff from 10% to 15% as it had signaled; however, the tariff has remained at 10% to date, reflecting the Middle East war and pushback from affected countries.

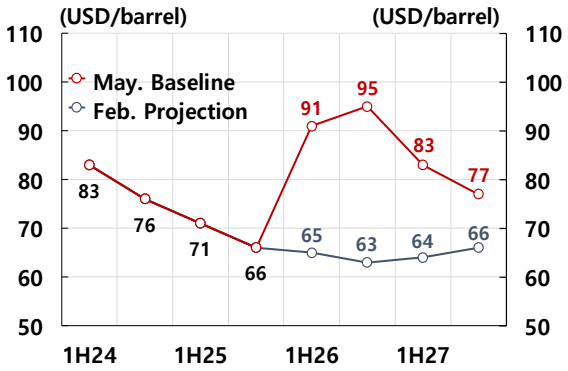
** A Section 301 investigation under the Trade Act is currently in progress, with an alternative tariff expected upon the expiration of the temporary tariff in July.

- Semiconductor tariffs (15%) are assumed to take effect from Q1 2027, unchanged from the February assumption.

  ➞ As a result, the average U.S. tariff rate on Korea this year is marginally below the February assumption.

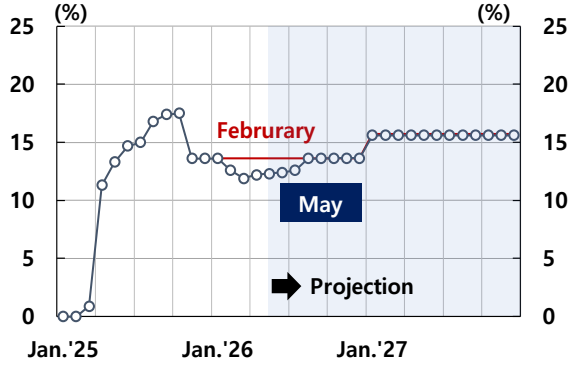
Key Assumption	Details
▶ Middle East Situation	▪ Strait of Hormuz transit, currently at around 10% of pre-war levels, gradually recovers to around 60% by Q4. ▪ Brent crude rises to an average of USD 103/barrel in Q2 before easing gradually.
▶ U.S. tariff policy	▪ Tariffs on Korea: temporary tariff 10% (15% in February projection), replaced by an alternative tariff 15% from Jul. 24, 2026 (substituting former reciprocal tariffs); autos remain at 15%; steel/aluminum/copper 50%, with derivative-product tariffs adjusted from Apr. 6, 2026; pharmaceutical tariffs (15%) from Q4 2026. ▪ Semiconductor tariffs (15%) assumed from Q1 2027.

Brent crude oil price assumption



Sources: Bloomberg, Research Department.

U.S. tariff rate on Korean exports[1)]



Note: 1) Based on 2024 U.S. import values.
Source: Research Department.

Executive Summary

- **The Korean economy is projected to expand by 2.6% this year — well above the February forecast of 2.0% — driven by robust semiconductor exports, while government measures, including the supplementary budget, partially offset the Middle East-driven supply shock*.**

  * Production disruptions have occurred in certain industries amid cost increases and supply shortages stemming from global energy market instability.

- **CPI inflation is expected to be 2.7%, significantly above the February forecast of 2.2%, reflecting a sharp rise in petroleum prices and the lagged pass-through of the oil price shock to other items.**

(%, %p)	2025	2026e)1)	2027e)1)
GDP growth rate	1.0	2.6(+0.6)	2.1 (+0.3)
Headline inflation (%)	2.1	2.7(+0.5)	2.3 (+0.3)
(Core inflation)	1.9	2.4(+0.3)	2.3 (+0.3)

Note: 1) ( ) indicates change from the February 2026 projection.

Economic Conditions

☐ **The global economy is expected to slow, as the commodity supply disruptions stemming from the Middle East gradually weigh on activity, despite robust AI-related investment.**

- The **United States** is projected to grow at around 2%, below the previous forecast—AI-related investment remains a key tailwind, but the fallout from the Middle East war continues to drag on growth. The **euro area** faces heightened downside pressure on growth from higher energy prices. **China** is expected to maintain growth in the mid-4% range, supported by continued export strength, with substantial crude oil stockpiles providing a cushion against the Middle East shock.

- **Global trade growth** is expected to slow moderately from last year as the effects of the Strait of Hormuz closure gradually materialize. The **global semiconductor industry** is projected to remain in an extended upcycle, driven by the broadening of AI applications and the scale-up of infrastructure investment by major Big Tech firms.

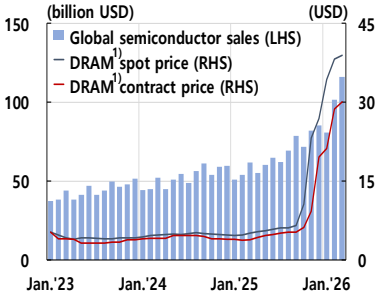
- **Global oil prices** (Brent crude) are expected to remain elevated through mid-year before easing as Strait of Hormuz transit recovers, but the pace of decline is likely to be modest given the time required for energy-infrastructure repair and the restocking demand from major importers.

☐ **On the domestic front, market interest rates have risen and exchange rate volatility has widened following the outbreak of the Middle East war; nonetheless, domestic demand conditions are expected to improve, supported by strong IT corporate earnings, equity market gains, and the supplementary budget.**

- **Nominal wage growth** is expected to accelerate, driven primarily by the robust earnings of major IT companies.

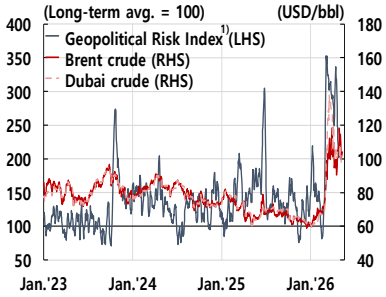
- **Corporate bond yields** have risen substantially, reflecting heightened inflation concerns stemming from the Middle East war and the associated shift in monetary policy expectations. The **USD/KRW exchange rate** has displayed elevated volatility at high levels, moving in step with developments in the Middle East. **Housing price** gains have widened in the Seoul metropolitan area, particularly in Seoul itself, while markets outside the region remain weak overall.

Global semiconductor industry



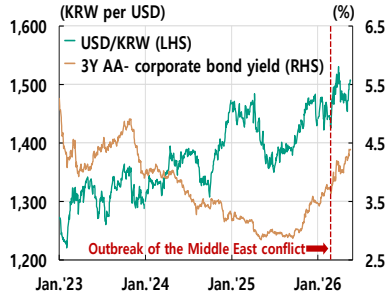
Note: 1) DRAM prices are based on 16GB DDR5.
Sources: WSTS, DRAMeXchange.

Geopolitical risk and oil prices



Note: 1) 7-day moving average.
Sources: Caldara et al. (2021), Bloomberg.

USD/KRW and corporate bond yields



Sources: Bank of Korea, Korea Financial Investment Association.

Assumptions for the global economy[1)]

(%)	2025	2026[e)]			2027[e)]		
	Year	H1	H2	Year	H1	H2	Year
Global economic growth[2)]	3.4	2.9	2.9	2.9 [3.1]	3.0	3.1	3.1 [3.2]
• United States	2.1	2.4	1.7	2.1 [2.3]	2.0	2.0	2.0 [2.1]
• Euro area	1.4	0.8	0.7	0.8 [1.2]	1.0	1.3	1.2 [1.4]
• China	5.0	4.7	4.5	4.6 [4.6]	4.3	4.3	4.3 [4.4]
Global trade growth[2)]	4.8	3.0	2.5	2.8 [2.5]	2.9	3.6	3.2 [3.2]
Brent oil prices[3)]	68	91	95	93 [64]	83	77	80 [65]

Note: 1) Figures in [ ] are February 2026 projections. 2) Year-on-year. 3) USD/barrel, by period average.
Sources: Statistics Offices of each region, Bloomberg, Research Department.

Economic Outlook

☐ **GDP growth this year is projected at 2.6%, well above the February forecast of 2.0%, driven by robust semiconductor exports, while government measures, including the supplementary budget, partially offset the Middle East-driven supply shock.**

- In **Q2 2026**, growth is expected to moderate to 0.2% QoQ (3.0% YoY)—despite the drag from the Middle East war and base effects from the strong Q1 print, government measures, such as the supplementary budget, and firms' drawdown of inventories will cushion the impact amid continued strength in semiconductor exports.

- In the **second half**, growth is expected to ease to 0.0% QoQ (1.7% YoY) in **Q3**, as the prolonged global energy supply-demand imbalance and production disruptions in certain industries weigh on activity. **Q4** should see a rebound to 0.4% QoQ (2.2% YoY) as energy supply chains begin to normalize.

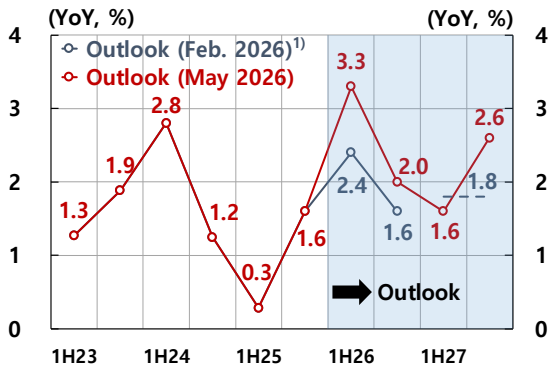
- In **2027**, growth is projected at 2.1%—above the previous forecast of 1.8%—as rising household incomes from strong IT corporate earnings bolster consumption momentum, while oil prices recede.

GDP growth projections by expenditure[1)]

(%)	2025	2026[e)]	2027[e)]
GDP	1.0	2.6 [2.0]	2.1 [1.8]
• Private consumption	1.3	2.0 [1.8]	2.1 [1.8]
• Goods exports	3.2	4.9 [2.1]	3.3 [2.3]
• Construction investment	-9.8	0.6 [1.0]	1.5 [1.5]
• Facilities investment	2.0	4.4 [2.4]	2.7 [2.0]

Note: 1) [ ] indicates forecasts as of February 2026.
Source: Research Department.

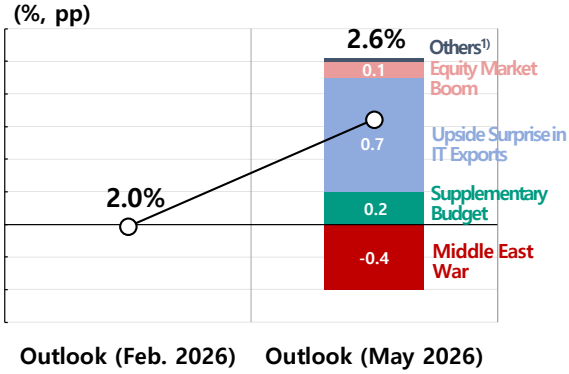
Outlook for GDP growth



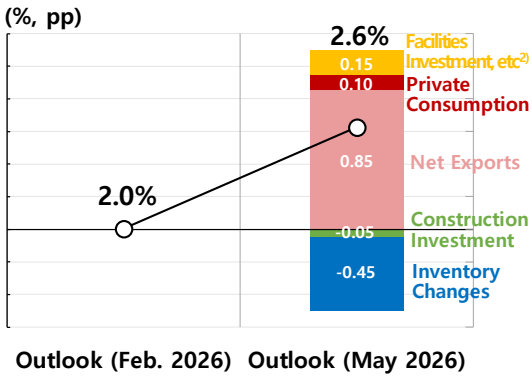
Note: 1) Dotted line represents the annual projection for 2027.
Source: Research Department.

☐ **The 0.6 percentage points upward revision to this year's GDP growth reflects stronger-than-expected IT export momentum (+0.7 percentage points) and the stock market strength (+0.1 percentage point) as the main upward drivers, with the supplementary budget and other government measures (+0.2 percentage points) partially cushioning the Middle East war shock (-0.4 percentage points).**

Revision to GDP growth projection for 2026 (by main driver)



Revision to GDP growth projection for 2026 (by expenditure)



Notes: 1) Including adjustments to the temporary tariff assumption, etc. 2) Including IPP investment.

☐ **CPI inflation is expected to be 2.7% in 2026, significantly above the February forecast of 2.2%, reflecting a sharp rise in petroleum prices and the lagged pass-through of the oil price shock to other items.**

- **Core inflation** is forecast at 2.4%, markedly above the previous forecast of 2.1%, as the oil price shock is anticipated to propagate to industrial products and personal services from the second half onward.

- On a monthly basis, despite high uncertainty, both headline CPI and core inflation are expected to peak for the year in August, under the current oil price and exchange rate assumptions, largely driven by the base effect (+0.5–0.6 percentage points) from the telecommunications fee discounts in August 2025.

- In **2027**, while cost-push pressures from oil prices are expected to ease, building demand-side pressures will likely keep both headline and core inflation above the target level. CPI inflation, in particular, is projected to decline rapidly as supply shocks dissipate, whereas core inflation—which closely mirrors demand-side pressures—is anticipated to remain at a level comparable to this year.

☐ **The current account surplus this year is expected to reach USD 250 billion, substantially exceeding the previous forecast.**

- The **goods balance** surplus is projected to widen substantially relative to the previous forecast—despite higher energy-import costs, stronger-than-expected semiconductor exports more than offset higher import values. The **services balance** is also expected to improve beyond the previous expectations, reflecting the recent rise in inbound tourists and a projected slowdown in outbound travel demand driven by increases in fuel surcharges.

☐ **For 2026, the number of employed persons is forecast to increase by 180,000, exceeding the February projection of 170,000.**

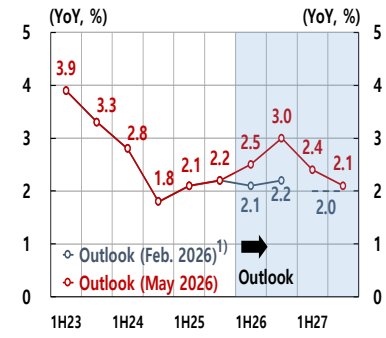
- Employment is projected to slightly exceed the previous forecast, as government measures such as the supplementary budget cushion the negative impact from the Middle East war, and as care-service jobs are also expected to expand more than the previously estimated. Private-sector employment will sustain the recovery trend that began in H2 2025, and public-sector jobs are anticipated to increase slightly compared to the previous forecast.

Outlook for inflation, current account, and employment[1)]

	2025	2026[e)]	2027[e)]
Headline inflation	2.1	2.7 [2.2]	2.3 [2.0]
• Core inflation	1.9	2.4 [2.1]	2.3 [2.0]
Current account (USD 100 million)	1,231	2,500 [1,700]	1,900 [1,400]
Change in number of employed persons (10,000 persons)	19	18 [17]	17 [15]

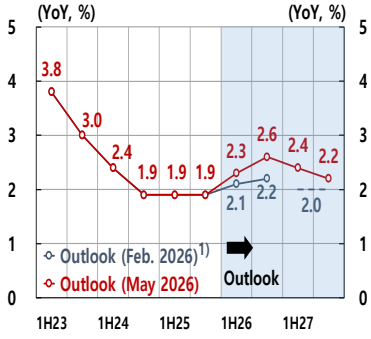
Note: 1) [ ] indicates forecasts as of February 2026.
Sources: Research Department, Ministry of Data and Statistics.

Headline inflation outlook



Note: 1) Dotted line represents the annual projection for 2027.
Sources: Research Department, Ministry of Data and Statistics.

Core inflation outlook



Note: 1) Dotted line indicates the annual projection for 2027.
Sources: Research Department, Ministry of Data and Statistics.

Risks to the Outlook

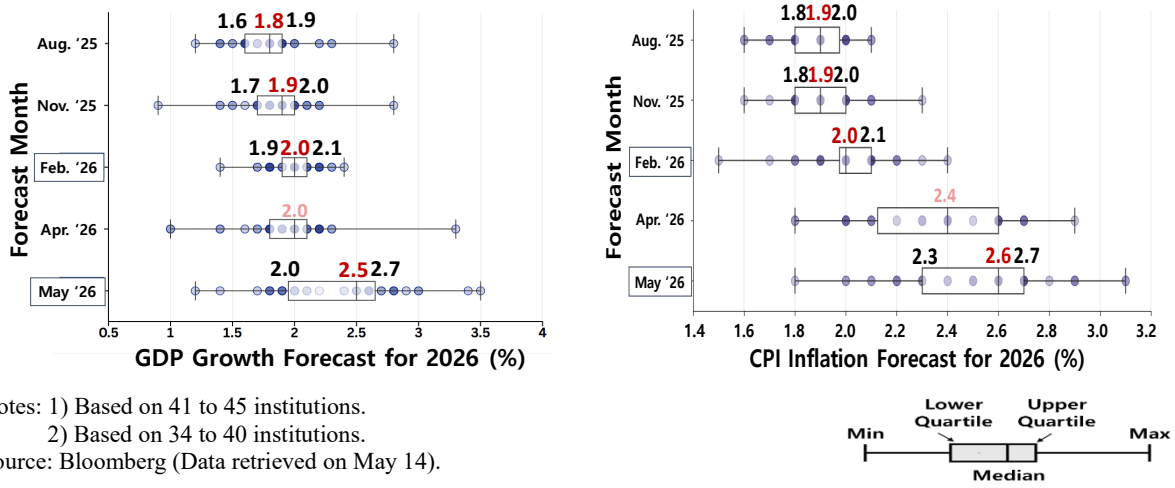
☐ **The growth and inflation forecast paths are subject to exceptionally high uncertainty, particularly surrounding the semiconductor cycle and the Middle East situation.**

	Upside risks	Downside risks
Growth	▪ Structural shift in semiconductor markets driven by AI demand ▪ Rapid recovery of Strait of Hormuz transit ▪ Broadening domestic demand recovery supported by income and asset gains	▪ Prolonged high oil prices and a shift to tighter monetary policy stances in major economies ▪ Investment adjustments amid AI profitability concerns ▪ Re-escalation of U.S. tariff policy uncertainty
Inflation	▪ Broader pass-through of crude oil and naphtha supply disruptions ▪ Stronger demand-side pressure from accelerating growth	▪ Decline in oil prices and the exchange rate driven by improvement in the Middle East situation ▪ Reinforcement of government price-stabilization measures

Distribution of market forecasts

☐ **The median forecasts from major institutions for Korea's 2026 growth and inflation have been revised sharply upward since the February forecast round.** Among market participants, the median GDP growth forecast stands at 2.5%, up 0.5 percentage points from the February figure of 2.0%. The CPI inflation forecast has also risen 0.6 percentage points from 2.0% to 2.6%.

Distribution of GDP growth and CPI inflation forecasts for 2026



Notes: 1) Based on 41 to 45 institutions.
2) Based on 34 to 40 institutions.
Source: Bloomberg (Data retrieved on May 14).

Scenario Analysis

☐ **Uncertainty around the projection path is exceptionally high. The semiconductor cycle is sustaining a stronger-than-expected upturn, but volatility is likely to remain high depending on how the AI industry evolves. With respect to the Middle East war, although it shifted to a negotiation phase in early April, uncertainty surrounding the resumption of Strait of Hormuz transit and the timing of normalization of energy supply chains remains very high.**

Accordingly, alternative scenarios for the semiconductor cycle and the Middle East situation were constructed to examine their implications for growth and inflation.

① **Semiconductor Scenarios — Accelerating export growth in 2026 (optimistic) vs. Decelerating export growth in 2026 (pessimistic)**

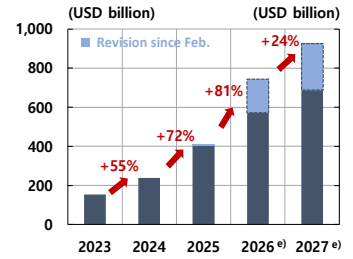
- **[Baseline]** With global AI investment expansion rapidly increasing semiconductor demand while capacity additions proceed gradually, excess demand in the semiconductor market persists, and long-term supply agreements (LTAs) with major buyers are being concluded. Accordingly, semiconductor export volume growth is expected to remain near last year's level (16%) this year and to decelerate gradually to around 10% in 2027.

- **[Optimistic]** Semiconductor demand strengthens further on the back of accelerated AI data center investment by Big Tech firms and the expansion of the physical AI market, while domestic suppliers expand production capacity faster than expected through yield improvements and broader LTAs. In this case, semiconductor export volume growth rises to the mid-20% range this year* and remains in the mid-teens next year. Relative to the baseline, **GDP growth** would be **0.5 percentage points higher in 2026 and 0.3 percentage points higher in 2027**, with **CPI inflation 0.1 percentage point higher in both years**.

  * Comparable to the average of 2017 (28%) and 2021 (18%), past episodes characterized by competitive capacity expansion among suppliers.

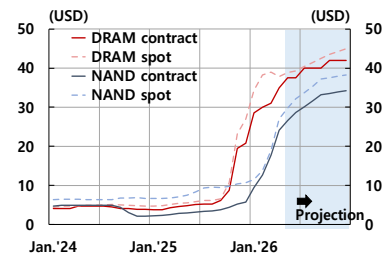
- **[Pessimistic]** In H2 2026, some Big Tech firms moderate the pace of investment amid concerns over AI profitability, while elevated memory prices simultaneously weigh on demand for electronics such as PCs and smartphones. However, LTAs partially offset the downward pressure on demand, so that semiconductor export volume growth decelerates gradually to the low teens this year before falling to single digits next year. Under this scenario, **GDP growth** would be **0.3 percentage points lower in 2026 and 0.2 percentage points lower in 2027**, with the **CPI** impact **limited this year and 0.1 percentage point lower in 2027.**

U.S. big tech CapEx[1] forecast



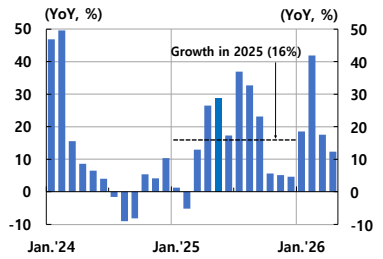
Note: 1) Sum of five firms: Amazon, Google, Microsoft, Meta, and Oracle.
Source: Bloomberg.

Memory chip prices[1]



Note: 1) 16GB DDR5 for DRAM; 128GB MLC for NAND.
Source: TrendForce (May 2026).

Semiconductor export volume index



Source: Bank of Korea.

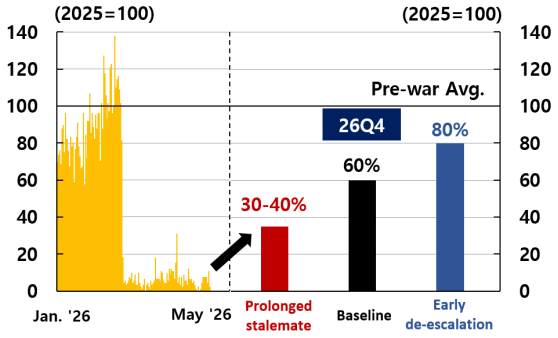
② **Middle East Scenarios: Rapid recovery of Strait of Hormuz transit (early de-escalation) vs. prolonged stalemate**

- **[Baseline]** As U.S.–Iran negotiations progress, transit through the Strait of Hormuz gradually resumes, recovering to around 60% of pre-war levels by year-end. Under this assumption, Brent crude price is expected to rise to an average of USD 103/barrel in Q2 before easing to the mid-USD 90s in H2.

- **[Early de-escalation]** U.S.–Iran negotiations are concluded smoothly and Strait of Hormuz transit resumes promptly, recovering to around 80% of pre-war levels by year-end. In this case, oil prices stabilize rapidly, falling to an average of USD 80/barrel in H2. Relative to the baseline, **GDP growth** would be **0.1 percentage point higher in both 2026 and 2027**, with **CPI inflation 0.2 percentage points lower in 2026 and 0.3 percentage points lower in 2027**.

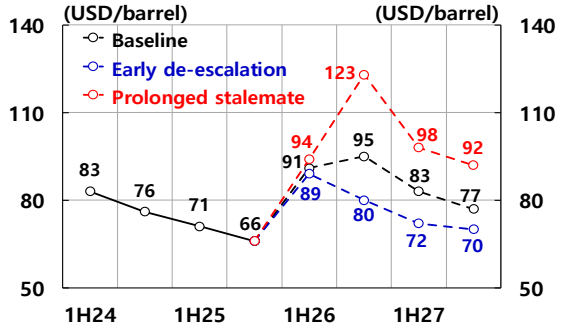
- **[Prolonged stalemate]** The closure of the Strait of Hormuz persists, with transit remaining at low levels (around 30–40%, less than half of pre-war volumes) through year-end. Brent crude rises to an average in the mid-USD 120s in H2 and remains above USD 100/barrel even at year-end; deteriorating global energy supply and demand conditions lead to widening production disruptions, particularly in industries with high dependence on imported commodities. Relative to the baseline, **GDP growth** would be **0.5 percentage points lower in 2026 and 0.3 percentage points lower in 2027**, with **CPI inflation 0.3 percentage points higher in 2026 and 0.5 percentage points higher in 2027.**

Strait of Hormuz transit assumptions



Sources: IMF PortWatch, Research Department.

Brent crude oil price assumptions



Sources: Bloomberg, Research Department.

Key assumptions by Middle East scenario

	Baseline		Early de-escalation		Prolonged stalemate	
	2026e)	2027e)	2026e)	2027e)	2026e)	2027e)
▶ Brent crude	USD 93	USD 80	USD 85	USD 71	USD 108	USD 95
▶ Global growth	2.9%	3.1%	+0.1pp	+0.1pp	-0.4pp	-0.2pp

Note: 1) Deviations of global GDP growth from the baseline projection are shown for each scenario.

☐ **If the semiconductor cycle and the Middle East situation were to evolve simultaneously in either the optimistic or the pessimistic direction, the impact on the Korean economy—transmitted through financial conditions, consumer and business sentiment, and corporate profitability—would exceed the simple arithmetic sum of the individual scenarios. In particular, under the joint pessimistic scenario, adverse feedback loops between financial conditions and the real economy would emerge, further amplifying the growth slowdown.**

GDP growth and inflation outlook by scenario

GDP growth

(%, pp)	2025	2026e)	2027e)
Baseline	1.0	2.6	2.1
Semiconductor cycle (optimistic)		+0.5	+0.3
Semiconductor cycle (pessimistic)		-0.3	-0.2
Middle East (early de-escalation)		+0.1	+0.1
Middle East (prolonged stalemate)		-0.5	-0.3

CPI inflation

(%, pp)	2025	2026e)	2027e)
Baseline	2.1	2.7	2.3
Semiconductor cycle (optimistic)		+0.1	+0.1
Semiconductor cycle (pessimistic)		-	-0.1
Middle East (early de-escalation)		-0.2	-0.3
Middle East (prolonged stalemate)		+0.3	+0.5

Economic Outlook Summary (May 2026)

	2025	2026[e]			2027[e]		
	Year	H1	H2	Year[1]	H1	H2	Year[1]
Main Premises of the Baseline Outlook							
Global economic growth (%)[2]	**3.4**	2.9	2.9	**2.9 [-0.2]**	3.0	3.1	**3.1 [-0.1]**
• United States	**2.1**	2.4	1.7	**2.1 [-0.2]**	2.0	2.0	**2.0 [-0.1]**
• Euro area	**1.4**	0.8	0.7	**0.8 [-0.4]**	1.0	1.3	**1.2 [-0.2]**
• China	**5.0**	4.7	4.5	**4.6 [-]**	4.3	4.3	**4.3 [-0.1]**
• Japan	**1.1**	0.1	1.0	**0.5 [-0.1]**	0.5	0.8	**0.7 [-0.1]**
Global trade growth (%)[2]	**4.8**	3.0	2.5	**2.8 [+0.3]**	2.9	3.6	**3.2 [-]**
Brent oil price (USD/barrel)[3]	**68**	91	95	**93 [+29]**	83	77	**80 [+15]**
Domestic Economic Outlook							
GDP growth (%)[2]	**1.0**	3.3	2.0	**2.6 [+0.6]**	1.6	2.6	**2.1 [+0.3]**
• Private consumption	**1.3**	2.6	1.5	**2.0 [+0.2]**	1.8	2.3	**2.1 [+0.3]**
• Construction investment	**-9.8**	-0.4	1.6	**0.6 [-0.4]**	1.3	1.7	**1.5 [-]**
• Facilities investment	**2.0**	4.4	4.3	**4.4 [+2.0]**	2.6	2.8	**2.7 [+0.7]**
• IPP investment	**2.9**	2.8	4.1	**3.5 [-]**	3.6	2.4	**3.0 [+0.4]**
• Goods exports	**3.2**	7.5	2.4	**4.9 [+2.8]**	1.2	5.3	**3.3 [+1.0]**
• Goods imports	**1.9**	3.9	2.1	**3.0 [+0.5]**	3.7	3.4	**3.5 [+0.9]**
Headline CPI inflation (%)[2]	**2.1**	2.5	3.0	**2.7 [+0.5]**	2.4	2.1	**2.3 [+0.3]**
• Core inflation[4]	**1.9**	2.3	2.6	**2.4 [+0.3]**	2.4	2.2	**2.3 [+0.3]**
Current account (USD 100 million)	**1,231**	1,515	985	**2,500 [+800]**	1,108	792	**1,900 [+500]**
• Goods	**1,381**	1,616	1,056	**2,672 [+776]**	1,256	899	**2,155 [+563]**
• Services	**-345**	-153	-203	**-356 [+55]**	-198	-234	**-433 [-19]**
• Primary and secondary income	**195**	52	131	**184 [-32]**	50	127	**177 [-44]**
Change in number of employed persons (10,000 persons)[2]	**19**	18	19	**18 [+1]**	17	18	**17 [+2]**
Unemployment rate (%)	**2.8**	3.1	2.6	**2.8 [-]**	3.0	2.6	**2.8 [-]**
Employment rate (%)[5]	**62.9**	62.7	63.2	**63.0 [-]**	62.8	63.3	**63.1 [-]**

Notes: 1) Figures in [ ] show the changes from projections as of February 2026.
2) Year-on-year. 3) By period average. 4) Excluding food and energy.
5) Ages 15 and older.

Sources: Bank of Korea, Statistics Offices of each region, Bloomberg.

Macroeconomic Conditions and Outlook

1. Domestic and International Economic Conditions

Global Economy

1.1. The global economy is expected to slow, as the commodity supply disruptions stemming from the Middle East gradually weigh on activity, despite robust AI-related investment. Recently, global growth remained relatively favorable, supported by expanding AI infrastructure investment and expansionary fiscal policies in major economies, even amid significant energy shocks associated with the conflict in the Middle East. In the United States, GDP growth has been driven primarily by AI-related investment, while in China, first-quarter GDP growth rebounded to 5.0%, supported by robust exports, particularly in semiconductors and automobiles.

The smaller-than-expected impact of the Strait of Hormuz blockade on the global economy, despite an unprecedented supply shock, appears to be largely attributable to physical and policy buffers and optimistic market expectations about developments in Middle East tensions. First, elevated global crude oil inventories at the onset of the war absorbed[1] a significant share of the supply shock, while governments contained upward pressure on energy prices through prompt fiscal measures such as price controls and subsidies. Furthermore, unlike in past Middle East crises, market sentiment appears to have been supported by expectations of an early end to the war and optimism about AI-related growth, helping global financial conditions—including equity markets—favorable.

However, despite these stabilizing factors, energy and commodity supply disruptions continue to spread into the real economy. Global oil prices, which have risen more than 40% compared with pre-war levels, are adding to inflationary pressure in both advanced and emerging market economies. Meanwhile the New York FRB's Global Supply Chain Pressure Index rose in April to its highest level since July 2022, indicating that the Middle East shock is increasingly being transmitted[2] to the production side of the global economy. Recently, the euro area services PMI has already begun to deteriorate, falling from 50.2 to 47.6. Although the global manufacturing PMI rose from 51.3 in March to 52.6 in April, this reflects front-loaded orders in anticipation of delivery delays and supply disruptions, as well as the impact of AI-related investment.

As the war in the Middle East and the closure of the Strait of Hormuz have persisted longer than initially anticipated,[3] the global economy is facing heightened supply-chain risks and stronger inflationary pressures. Even if the Strait of Hormuz reopens within a few weeks, vessel traffic is likely to recover only gradually, constrained by navigation safety concern and more restrictive insurance conditions. Given the damage to energy infrastructure in the Middle East and demand for crude restocking by importing countries,

[1] Global crude oil inventories (including offshore crude) stood at 4.96 billion barrels in February, prior to the outbreak of the war, and fell to 4.80 billion barrels as of May 20, implying a drawdown of about 0.16 billion barrels. This represents the largest decline in inventories during the period under review (Kpler).

[2] Due to crude oil shortages, refineries in Asia and across Europe have already reduced their daily processing volumes by nearly 4 million barrels, while exports of refined products from the Gulf region have declined by about 4.4 million barrels per day as a result of the Strait of Hormuz blockade, pushing diesel, gasoline, and jet fuel prices up by roughly 60% to 120% between January and April (The Economist, May 12).

[3] According to a survey conducted by Deutsche Bank on March 23, a majority of market participants expected the war in the Middle East to end in April or May.

it appears unlikely that global oil prices will stabilize soon. Financial conditions could also become more restrictive, as higher market interest rates driven by expansionary fiscal measures in response to the energy shock, together with a possible shift toward tighter monetary policy to contain inflation, are likely to weigh on growth.

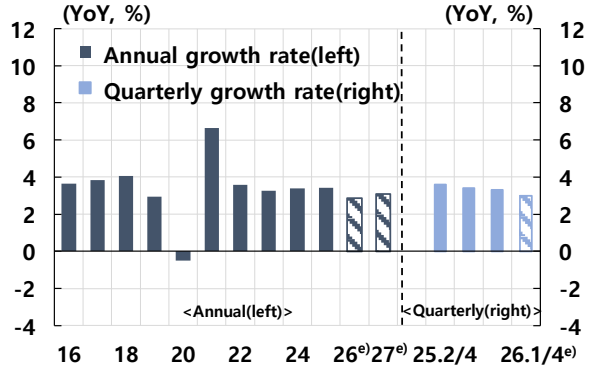
Accordingly, the global economy growth is projected to moderate overall as the impact of the Middle East shock gradually materializes. However, country-specific growth paths are likely to differ depending on each economy's capacity to absorb the energy shock and the extent to which it benefits from the AI boom. The United States, as a net petroleum exporter and the main hub of global AI infrastructure investment, is assessed to have a relatively strong buffer against the current shock. China is also expected to achieve the government's growth target supported by a high degree of energy self-sufficiency and substantial crude oil inventories. Asian economies are generally more vulnerable to the Middle East shock than the United States and China, given their relatively high reliance on energy imports. However, some economies benefiting from AI-related export demand are projected to maintain relatively favorable growth. The euro area is expected to face relatively strong downward pressure on growth this year, given its high reliance on energy imports and relatively limited gains from the AI boom.

The key downside risk to this outlook path is a prolonged disruption of the Strait of Hormuz. In such a scenario, the government's fiscal space, which has thus far served as a key buffer, would gradually be eroded, while the economy could face a significant rise in energy prices and a consequent contraction in energy demand. By contrast, if passage through the Strait of Hormuz resumes earlier than expected and logistics recover promptly, the downward pressure on global growth would likely ease somewhat.

Global trade growth is expected to moderate from last year, as the disruption of the Strait of Hormuz increasingly weighs on shipping and supply-chain conditions, despite the ongoing boom in AI-related trade. Uncertainty surrounding the global trade environment has intensified amid recent U.S. tariff actions, including the initiation of Section 301 investigations in March under the Trade Act(covering issues such as digital regulations and forced labor), adjustment of steel and pharmaceutical tariffs in April under Section 232 of the Trade Expansion Act, and imposition of temporary global tariffs in May under Section 122 of the Trade Act, followed by a first-instance court ruling invalidating those measures.

Growth likely to slow due to Middle East conflict

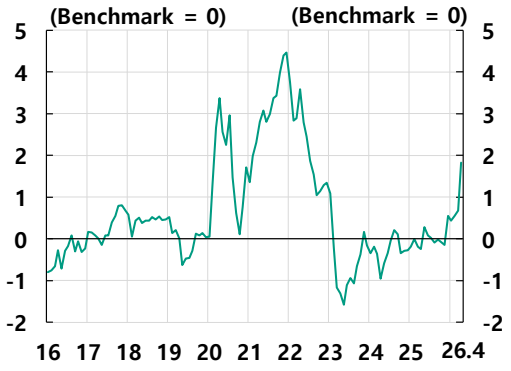
Figure 1.1. Global growth rate



Sources: Research Department, IMF.

Global supply chain disruptions expanded

Figure 1.2. Global supply chain pressure index[1)]

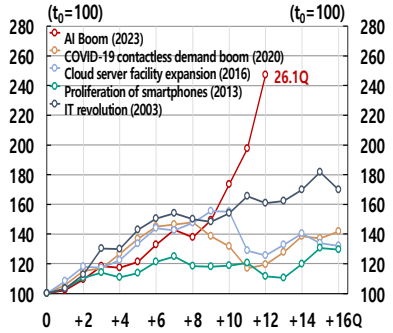


Note: 1) The higher the index moves above 0, the greater the pressure on global supply chains.
Source: Federal Reserve Bank of New York.

1.2. The global semiconductor sector is projected to remain on an expansion path for quite some time, supported by the broadening of AI applications and rising investment by major hyperscalers. In the first quarter of this year, global semiconductor sales rose sharply, as HBM demand remained robust and prices of general-purpose chips such as DRAM and NAND surged amid strong AI server demand and supply shortages. Looking ahead, semiconductor demand is expected to continue growing, supported by the broadening of AI application cases and intensifying competition for technological leadership among major tech firms, while supply is projected to increase more gradually, given the time required to build new fabs and stabilize yields, implying that excess demand is likely to persist for a considerable period of time. Meanwhile, major semiconductor buyers have recently increased long-term supply agreements (LTAs, typically three to five years) to secure high-performance memory chips, which is supporting the durability of the current expansion of the semiconductor sector. There are both significant upside and downside risks to the future projection path, reflecting uncertainty around the AI cycle and geopolitical developments. On the upside, a more rapid diffusion of AI could further boost semiconductor demand, while on the downside, risks include adjustments in AI investment due to profitability concerns and funding constraints, power supply bottlenecks, and prolonged conflict in the Middle East.

Global semiconductor sales rising sharply

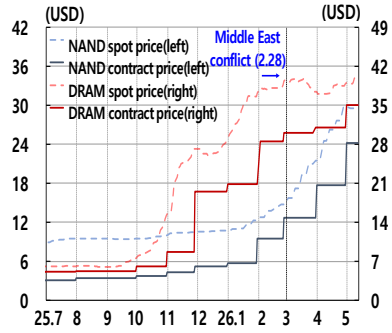
Figure 1.3. Semiconductor expansion periods since 2000[1)]



Note: 1) Based on global semiconductor sales, with t_0 denoting the start of each upcycle.
Source: WSTS

Memory chip contract prices are rising significantly even after the Middle East conflict

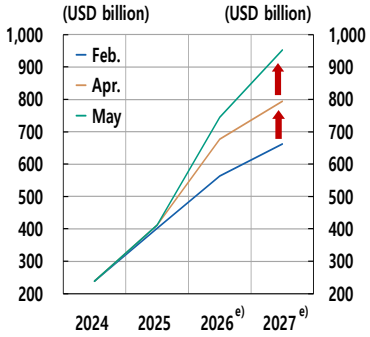
Figure 1.4. Memory chip prices[1)]



Note: 1) 128GB MLC for NAND; 16GB DDR5 for DRAM.
Source: DRAMeXchange.

Big tech firms' AI infrastructure investment plans continue to expand

Figure 1.5. U.S. big tech CapEx[1)] forecast

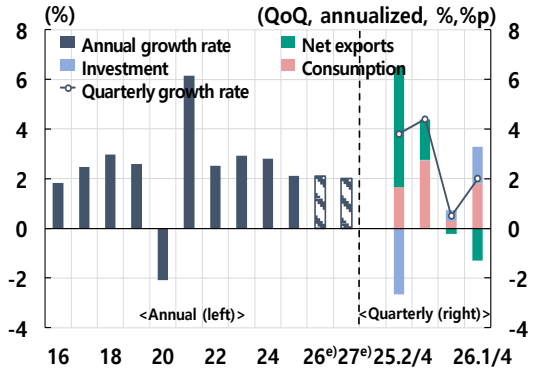


Note: 1) Aggregate CapEx of five companies: Amazon, Google, Microsoft, Meta, and Oracle.
Source: Bloomberg.

1.3. By major economies, the U.S. economy is projected to grow more slowly this year than previously anticipated, as the impact of the Middle East conflict offsets part of the support from continued strong investment in AI infrastructure. In the first quarter, the U.S. economy rebounded, supported by strong investment driven by increased AI-related capital expenditures and by a substantial increase in government spending following the end of the federal government shutdown in the fourth quarter of 2025. As for consumption, although labor market conditions have remained stable,[4] consumption has been rising at a slower pace, weighed down by surging energy prices amid the war in the Middle East and additional inflationary pressure[5] from tariffs. Looking ahead, U.S. investment is expected to remain robust, particularly in the AI sector, but overall growth is expected to be somewhat constrained as consumption momentum softens and expectations[6] for interest rate cuts diminish amid persistent inflation pressures. The U.S. economy is thus projected to grow by around 2% both this year and next year, slightly below earlier expectations. On the forecast horizon, upside risks include faster-than-expected corporate investment in AI and a wider, more rapid[7] rollout of tariff refunds, while downside risks include a prolonged Middle East conflict and intensifying trade disputes with major economies.

U.S. economy rebounds in the first quarter, driven by increased investment and government spending

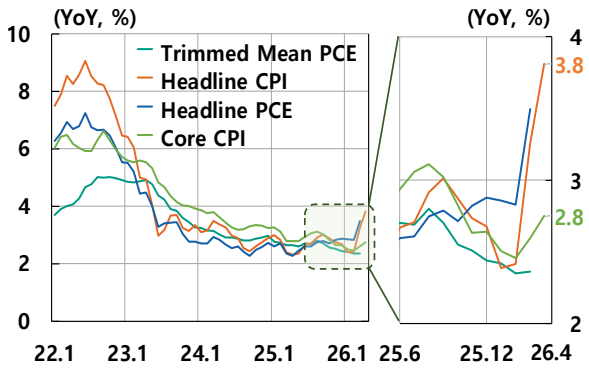
Figure 1.6. U.S. GDP growth rate and contributions



Sources: Research Department, BEA.

Inflation rises markedly following the Middle East conflict

Figure 1.7. U.S. inflation indicators



Sources: BLS, BEA, FRB Dallas.

[4] The number of employed persons has remained broadly stable. (+160,000 in January 2026 → -156,000 in February → +185,000 in March → +115,000 in April)

[5] The moderation of U.S. inflation was constrained by tariff effects and, from March, inflation rose sharply alongside higher energy prices.
► CPI inflation rate (year-on-year, %): 2.4 in Jan. 2026 → 2.4 in Feb. → 3.3 in Mar. → 3.8 in Apr.
► Core PCE inflation rate (year-on-year, %): 3.1 in Jan. 2026 → 3.0 in Feb. → 3.2 in Mar.

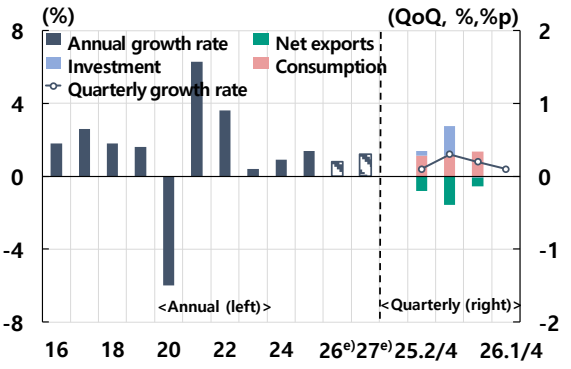
[6] Following the outbreak of the Middle East conflict, policy rate expectations embedded in federal funds futures rose substantially. In addition, at the April FOMC meeting, many participants indicated that they would have preferred removing language in the post-meeting statement that suggested an easing bias, and Federal Reserve Chair nominee Kevin Warsh emphasized the need to respond to inflation pressures during his confirmation hearing.
► The implied federal funds rate for December 2026 rose notably: from 3.13% on February 27, 2026 (immediately before the war), to 3.73% on March 19 (shortly after the March FOMC meeting) and 3.92% on May 26.

[7] As of May 22, roughly half of the expected total tariff refund of USD 166 billion (including interest) had either been approved or was under review: USD 20.6 billion had been finally approved for refund, and USD 64.4 billion was under examination. According to Morgan Stanley, these tariff refunds are estimated to raise U.S. GDP growth by about 0.08 to 0.17 percentage points, although the actual impact will depend on the pace and scale of the refunds.

1.4. The euro area economy is expected to grow more slowly than previously anticipated, mainly due to rising energy prices. In the first quarter the euro area economy grew by 0.1% quarter on quarter as higher energy costs driven by the Middle East conflict weighed on household consumption[8] and services sectors, particularly travel and transportation. From April onward, consumer sentiment and the composite PMI declined further,[9] reflecting the gradually mounting impact of the war in the Middle East, while market expectations for monetary policy shifted toward tightening.[10] Going forward, the euro area economy is expected to face increasing downward pressure, as higher energy prices erode households' real purchasing power, constrain energy-intensive industries, and dampen travel demand. These headwinds are likely to weigh on growth despite some supportive factors, including expansionary fiscal stances[11] in major countries and still-favorable labor market conditions. The outlook is subject to considerable uncertainty, particularly regarding the duration of the Middle East conflict and the ongoing trade negotiations with the United States.[12]

Euro area growth moderates amid weaker consumption and services

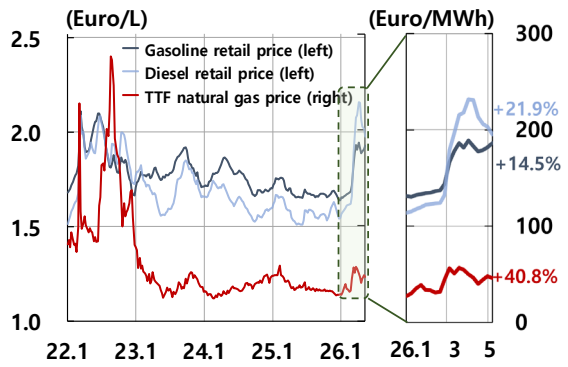
Figure 1.8. Euro area GDP growth rate and contributions[1)]



Note: 1) Contributions to GDP growth by component for Q1 of 2026 are not yet available.
Sources: Research Department, Eurostat.

Energy prices continue to rise

Figure 1.9. Euro area petroleum product and natural gas prices[1)]



Note: 1) Figures show percentage changes in prices between the fourth week of February 2026 and the second week of May.
Sources: European Commission, Bloomberg.

[8] ▶ Retail sales (quarter-on-quarter, %): +0.8 in Q2 2025 → +0.3 in Q3 → +0.6 in Q4 → -0.2 in Q1 2026 (fuel consumption: -1.1)

[9] ▶ Consumer confidence index (CCI): -12.6 in Jan. 2026 → -12.4 in Feb. → -16.4 in Mar. → -20.6 in Apr. (lowest in 40 months) → -19.0ᵖ in May
▶ PMI (S&P), composite: 51.3 in Jan. 2026 → 51.9 in Feb. → 50.7 in Mar. → 48.8 in Apr. → 47.5ᵖ in May (lowest in 31 months)
Non-manufacturing: 51.6 → 51.9 → 50.2 → 47.6 → 46.4ᵖ (lowest in 63 months)
Manufacturing: 49.5 → 50.8 → 51.6 → 52.2 → 51.4ᵖ
Although the manufacturing PMI rose in April, reflecting front-loaded orders amid concerns over higher prices and potential delivery delays, it fell again in May as new orders declined. Moreover, because these delivery delays stem from supply disruptions rather than stronger demand, the April improvement can hardly be regarded as a positive development.

[10] While, at the start of the year, market expectations were centered on a policy rate cut sometime in 2026, they shifted toward rate hikes following the outbreak of the war in the Middle East, and the ECB's projections also incorporated two rate increases in its baseline scenario. At the April 30 monetary policy meeting, however, President Lagarde maintained a cautious stance, emphasizing that a more precise assessment would be possible only once additional data become available around June.

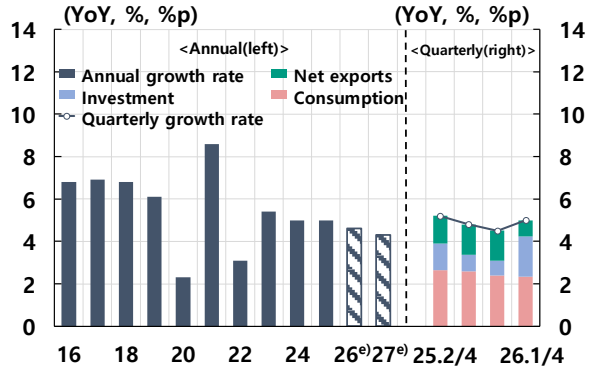
[11] Spain approved an emergency package on March 20 to respond to the Middle East conflict, amounting to EUR 5 billion (around 0.3% of annual GDP) and including energy-sector tax cuts and support measures for industry. Germany and Italy have also introduced temporary tax reductions on energy.

[12] In mid-March, the United States initiated Section 301 investigations into structural excess capacity in manufacturing sectors as well as into compliance with forced-labor import prohibitions for a wide range of major trading partners, including the EU. In early May, the United States announced its intention to raise the tariff on EU-produced automobiles from 15% to 25%, citing delays in implementing the agreed trade deal, but subsequently postponed the measure. On May 20, the EU approved the implementation of the trade agreements, thereby reducing the risk of a renewed tariff hike on automobiles. However, the Section 301 investigations by the United States are still underway.

1.5. China's economy is projected to record GDP growth in the mid-4% range, supported by relatively favorable buffer underpinned against energy price shocks. In the first quarter, GDP growth rebounded to 5%, supported by a pickup in investment, mainly in infrastructure, and a surge in exports of IT-related products such as semiconductors and automobiles. In April, domestic demand remained somewhat subdued, while exports continued to grow strongly, rising by more than 14%. The recent favorable growth of China's economy is attributed to its large-scale stockpiling[13] of raw materials, including crude oil,[14] which has helped cushion the impact of the Middle East conflict, together with surging global AI-related investment, which has boosted external demand[15] for China's semiconductors and computers. Looking ahead, China's economy is expected to record GDP growth in the mid-4% range, broadly in line with the previous projections, supported by its relatively strong buffers against external shocks and rising AI-related demand. With the reaffirmation of bilateral relations[16] at the U.S.-China summit held from May 13 to 15, upside risks to China's growth outlook include the possibility of additional measures to support domestic demand. At the same time, downside risks remain, notably the potential for more severe disruptions to China's supply chains if the Middle East conflict is prolonged and a resulting contraction in global import demand.

China's growth rebounds with easing domestic demand weakness and strong exports

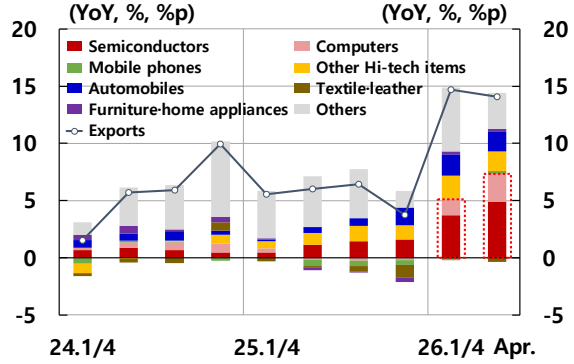
Figure 1.10. China's GDP growth rate[1)] and contributions



Sources: Research Department, National Bureau of Statistics of China.

Recent export growth is led by semiconductors, computers, and automobiles

Figure 1.11. China's exports by item



Sources: General Administration of Customs of the People's Republic of China, Research Department.

[13] For China, crude oil imports declined by more than 40% after the outbreak of the Middle East conflict*, while imports of key raw materials such as iron ore, copper, agricultural products, and semiconductors increased, resulting in import growth of 26.5% year-on-year, outpacing the export growth of 8.3% recorded in March and April. *The Economist* (May 12) assessed that the recent sharp decline in China's crude oil imports was due mainly to domestic factors, notably refinery maintenance and repair and the government's tighter controls on petroleum product exports in March and April.

* China's crude oil imports (daily average) declined from 1.47 million tons (about 10.8 million barrels) during January 2025 to February 2026 to 0.85 million tons (about 6.2 million barrels) during March 1 to May 13, 2026 (Sources: Kpler, Research Department).

[14] The U.S. Energy Information Administration (EIA) estimated in April 2026 that, as of the end of 2025, China held nearly 1.397 billion barrels of crude oil in strategic and commercial inventories.

[15] China's largest DRAM manufacturer, CXMT, reported in its recent prospectus that first-quarter 2026 sales surged to CNY 50.8 billion, a year-on-year increase of more than 700%, while net profit jumped to CNY 24.8 billion, up by over 1,600%, returning the company to profitability (Reuters).

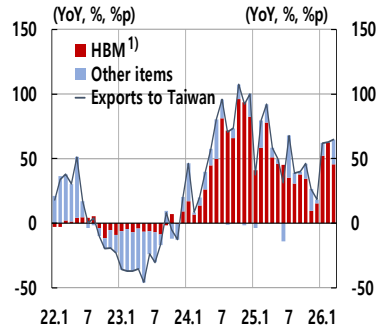
[16] Market participants generally assessed the summit's outcome as limited, noting the absence of major agreements on or concrete implementation plans for key issues such as trade and the Middle East war (Reuters, etc.).

FYI 1 Power Supply and Demand Conditions in Taiwan

Taiwan's economy grew by 8.7% last year, supported by a sharp increase in exports amid expanding AI-related demand. In the first quarter of this year, GDP growth reached 13.7% year-on-year, the highest quarterly rate in roughly four decades. In that process, demand for electricity, as well as for the energy[17] needed to generate it, has been rising rapidly. **With the recent prolonged blockage of the Strait of Hormuz, if Taiwan—which occupies a position very similar[18] to South Korea in the global semiconductor supply chain—were to experience power generation disruptions[19] due to reduced inflows of Middle East-sourced energy, Korea's exports (Figure 1) could be directly affected. Accordingly, this section examines the power supply and demand conditions in Taiwan.**

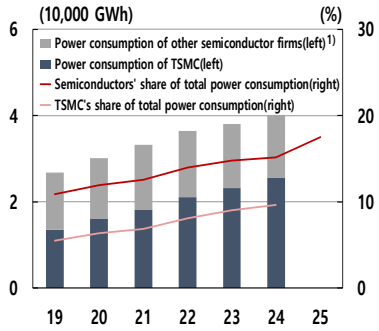
Taiwan has rapidly increased the share of LNG in its power generation mix to meet sharply rising electricity demand (Figure 2), and, with fuel imports heavily concentrated in specific suppliers such as Qatar, its exposure to supply disruption risks has increased. Drawing on lessons from the Fukushima nuclear accident, Taiwan's Ministry of Economic Affairs implemented a long-term energy transition policy[20] in 2017 under which nuclear power plants—which previously accounted for around 12% of electricity generation—were gradually phased out by 2025. Over this period, the authorities sought to reduce coal-fired power generation while increasing the shares of renewable energy and LNG. As a result, the share of LNG-fired power generation rose to around 50% last year (Figure 3). In Taiwan, LNG is entirely import-dependent, and supplies are highly concentrated in a small number of countries, with Qatar (34%) and Australia (33%) together accounting for roughly two-thirds of the country's total imports, underscoring elevated energy supply risks.

Figure 1. Korea's exports to Taiwan



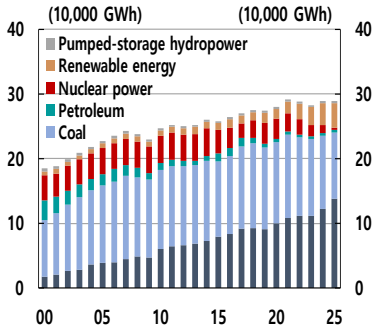
Note: 1) HSK 8542.32-3000.
Sources: Korea Trade Statistics Promotion Institute, Research Department.

Figure 2. Taiwan's semiconductor industry power usage



Note: 1) Figures for 2025 are estimates.
Sources: Bloomberg, TSMC.

Figure 3. Power generation mix in Taiwan



Sources: Energy Administration, Ministry of Economic Affairs.

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[17] According to Taiwan's energy supply and demand statistics, total electricity consumption is distributed across industrial use (about 55%; Korea: 47%), agriculture and services (about 27%; Korea: 38%), and households (about 18%; Korea: 15%). The electronic products and electrical equipment manufacturing sectors together account for roughly one-quarter of total electricity consumption. Semiconductors are estimated to have accounted for about 18% of Taiwan's total electricity consumption last year (Bloomberg), while TSMC alone consumed 25.5 billion kWh in 2024, equivalent to nearly 10% of the nation's total electricity demand.

[18] Korea's exports to Taiwan rose sharply to USD 49.1 billion last year, an increase of 44.5% year-on-year, driven mainly by HBM shipments. In the first four months of this year, exports continued to post strong growth, rising by 64.6% year-on-year.

[19] Taiwan's maximum LNG inventory covers only around 11 days of demand, noticeably less than that of its major peers (Korea: 30 days; Japan: 19 days). Reflecting these constraints, Bloomberg (May 7) reported that, if the current Strait of Hormuz crisis were to persist, Taiwan could face power supply disruptions that may hinder industrial production, including semiconductor output.

[20] Following the Fukushima nuclear accident in 2011, concerns over Taiwan's own seismic risks increased. Under the "20-30-50" energy transition plan* formulated by the Ministry of Economic Affairs in 2017, nuclear power generation was fully phased out, with all nuclear reactors taken offline by May 2025. However, while Taiwan effectively reached the targets of raising LNG's share to 50% and reducing nuclear power to 0% in 2025, the share of renewables was only about 13%—well below the interim goal of 20% by 2025 and less than half of the 30% target for 2030.

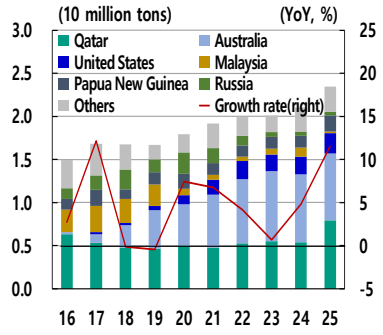
* Targets set in 2017: by 2025, renewable energy 20%, coal 30%, natural gas 50% → revised targets set in 2024: by 2030, coal 20%, renewable energy 30%, natural gas 50%

Meanwhile, repeated surges in electricity demand during the hot summer months pose a risk to grid stability in Taiwan. In summer, the maximum temperature in Taipei typically reaches around 34°C,[21] and high humidity often pushes the perceived temperature above 40°C. Hence, as sharp increases in summer electricity demand place heavy loads on the power grid, Taiwan has experienced three large-scale blackouts and several smaller power outages over the past five years.[22] The power reserve margin, which reflects the stability of electricity supply and demand ((supply capacity - maximum demand) / maximum demand), has remained below the Ministry of Economic Affairs' recommended level of 15% for five consecutive years. This suggests that the risk of power shortages in Taiwan remains elevated.

Recently, Taiwan has been actively responding to LNG supply disruptions caused by the Middle East conflict by allocating[23] an additional USD 620 million to purchase spot LNG. Following disruptions to LNG supplies from Qatar, Taiwan has diversified its LNG imports toward the United States and Australia, expanded overall import volumes (Figures 4 and 5), and pursued plans to restart certain nuclear power plants while increasing coal-fired power generation to reinforce power supply stability. Meanwhile, Taiwan has frozen electricity tariffs to preserve price stability and industrial competitiveness, despite increases in LNG import prices.

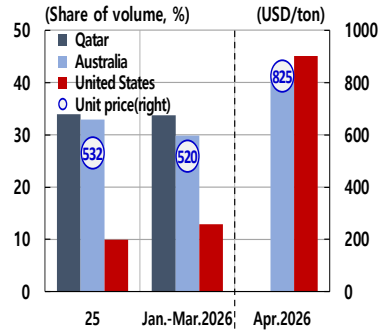
Although Taiwan has so far avoided actual disruptions to its energy supply and industrial production, the approaching summer peak in power demand and continued inability to import LNG from the Middle East due to the prolonged blockage of the Strait of Hormuz are heightening risks to the balance of power supply and demand. As summer approaches, major LNG importers[24] such as South Korea, China, Japan, and the EU are expected to step up their stockpiling, which will intensify competition to secure spot LNG cargoes from alternative suppliers, including the United States (Figure 6). This year's summer is forecast[25] to be hotter than average globally, which is expected to sharply increase electricity demand for air conditioning. Building on this outlook, some experts have warned that large-scale blackouts similar to those seen in 2024 could recur if power systems come under severe strain. If electricity demand surges this summer, Taiwan is likely to face difficult choices over how to allocate limited power between households and industry, as well as within industry between the semiconductor sector and others

Figure 4. Taiwan's LNG import volume



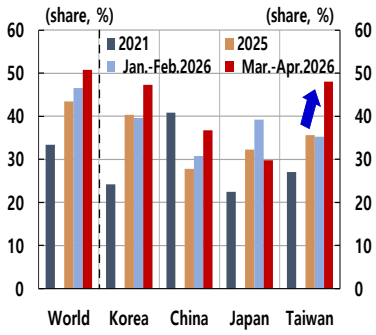
Sources: Taiwan's Ministry of Finance, Research Department.

Figure 5. Taiwan's recent LNG imports



Sources: Taiwan's Ministry of Finance, Research Department.

Figure 6. Share of spot LNG imports



Sources: Kpler, Research Department.

[21] Average summer maximum temperatures in major cities in June to August (2021 to 2025 averages) are as follows: Seoul 30°C, Tokyo 31°C, New York 28°C, Shanghai 33°C, and Taipei 34°C.

[22] In June 2024, a power outage lasting about one hour occurred in Taipei's Neihu Science Park, where roughly 3,000 companies—including the Taiwan branches of Nvidia and Foxconn—are located.

[23] JKM (USD/MMBtu, 1-month future): 11.5 at end of Jan. 2026 → 10.7 at end of Feb. → 20.1 at end of Mar. → 16.9 at end of Apr. → 19.6 on May 19

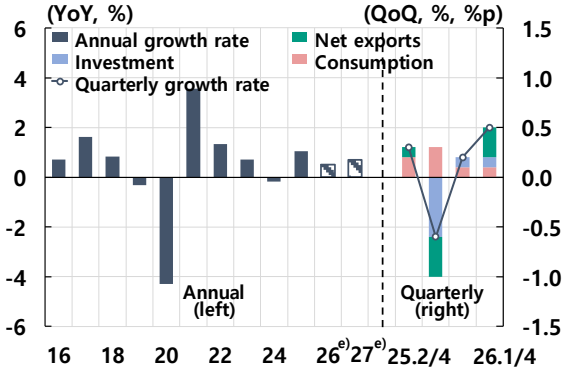
[24] 2024 LNG imports (share) UNComtrade: 1. China USD 44.1 billion (20%), 2. Japan USD 41.2 billion (19%), 3. South Korea USD 29.2 billion (13%), 5. Taiwan USD 11.6 billion (5%)

[25] According to the World Meteorological Organization (WMO), there is a 70 to 80% probability that global land surface temperatures from May to July 2026 will be above the long-term seasonal average.

1.6. Japan's growth is expected to slow as the pace of consumption recovery moderates, even though exports remain relatively favorable. In the first quarter, exports and capital investment related to semiconductors and AI continued to expand. Private consumption also continued its moderate recovery, as nominal wages increased[26] and inflationary pressures were eased by energy subsidies[27] and other policy measures[28]. Going forward, however, the cost burden from higher crude oil prices and a weak yen is expected to push up both producer prices and import prices.[29] As this inflationary pressure gradually passes through[30] to consumer prices, households' real purchasing power is likely to be constrained, causing private consumption to weaken and, in turn, dampening GDP growth. On the growth trajectory, additional fiscal support constitutes an upside risk, while persistently high oil prices, prolonged disruptions to trade and logistics amid geopolitical tensions, and heightened yen volatility remain key downside risks.

Japan's GDP growth recovers gradually in the first quarter

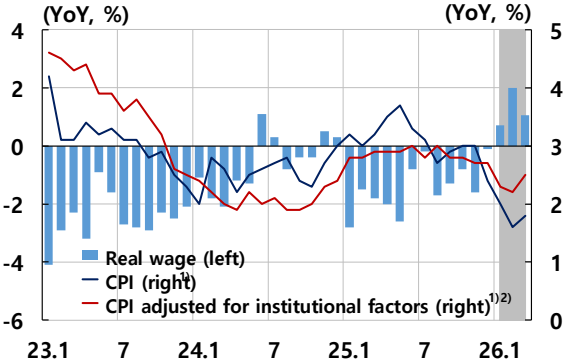
Figure 1.12. Japan's GDP growth rate and contributions



Sources: Research Department, Cabinet Office of Japan.

Inflationary pressures have recently increased on the back of sustained high oil prices and rising real wages

Figure 1.13. Japan's CPI inflation and wage growth



Notes: 1) Excluding fresh food.
2) Adjusted to remove temporary fluctuations and institutional factors such as subsidies and tax changes.

Sources: Ministry of Internal Affairs and Communications of Japan, Ministry of Health, Labor and Welfare of Japan, and the Bank of Japan.

[26] According to the 2026 spring wage negotiations (Shuntō), the average agreed wage increase reached 5.1% as of April, remaining above 5% for the third consecutive year. As wage hikes spread from large firms to small and medium-sized enterprises and a growing share is granted as permanent increases in base pay rather than bonuses, overall wage growth is judged to be gaining further momentum.

[27] Since March 19, 2026, the Japanese government has provided subsidies through the Fuel Oil Price Stabilization Fund to keep the nationwide average gasoline price at around JPY 170 per liter. As a result, the average price, which had surged to JPY 190.8 per liter on March 16, has declined and is currently hovering near JPY 169 per liter.

[28] According to the Bank of Japan, underlying inflation, which excludes temporary fluctuations and institutional factors such as subsidies and tax changes, reached 2.5% in March, substantially exceeding the CPI inflation rate of 1.8%.
► CPI (headline, year-on-year): 2.1% in Dec. 2025 → 1.5% in Jan. 2026 → 1.3% in Feb. → **1.5% in Mar.**
► CPI (excluding fresh food, year-on-year): 2.4% in Dec. 2025 → 2.0% in Jan. 2026 → 1.6% in Feb. → **1.8% in Mar.**
► Institutionally adjusted CPI (excluding fresh food, year-on-year): 2.7% in Dec. 2025 → 2.3% in Jan. 2026 → 2.2% in Feb. → **2.5% in Mar.**

[29] Producer price index (year-on-year): 2.4% in Dec. 2025 → 2.4% in Jan. 2026 → 2.1% in Feb. → 2.9% in Mar. → 4.9% Apr.
Import price index (JPY, year-on-year): 0.2% in Dec. 2025 → 0.6% in Jan. 2026 → 2.7% in Feb. → 8.0% in Mar. → 17.5% in Apr.

[30] Despite government measures to contain energy prices following the Russia-Ukraine war, higher raw material and transport costs spilled over to food and other daily necessities, pushing Japan's CPI (excluding fresh food) inflation up to 4.2% year-on-year in January 2023.

1.7. Asian emerging market economies (EMEs) are projected to experience a slowdown in growth, with energy shocks playing a major role in the deceleration. India and the ASEAN-5 economies recorded relatively strong growth until February, supported by robust private consumption and investment. From March, however, as energy supply and demand[31] became increasingly concentrated in the Middle East and against a backdrop of financial markets highly sensitive to external shocks and vulnerable fiscal positions[32] in some countries, the supply shock has spilled over into higher inflation, weaker currencies, and falling stock prices.[33] Looking ahead, economies in this region are forecast to see their GDP growth slow, as production disruptions stemming from higher oil prices and a contraction in private consumption more than offset the support from favorable IT-related exports and investment inflows. Furthermore, the abnormal climate conditions[34] anticipated for this summer are likely to pose additional downside risks to the agricultural sector in this region.

Asian EMEs grow with domestic demand

Figure 1.14. India's growth rate

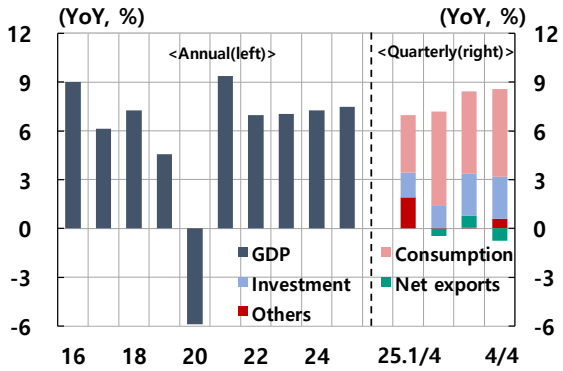
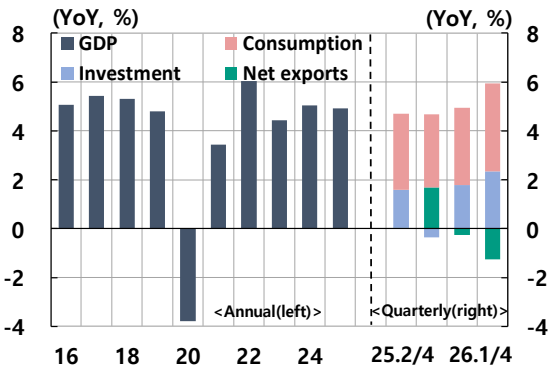


Figure 1.15. ASEAN-5's growth rate



Sources: National statistics offices, Haver Analytics.

Inflation has recently risen in Asian EMEs

Figure 1.16. Producer price inflation in Asian EMEs

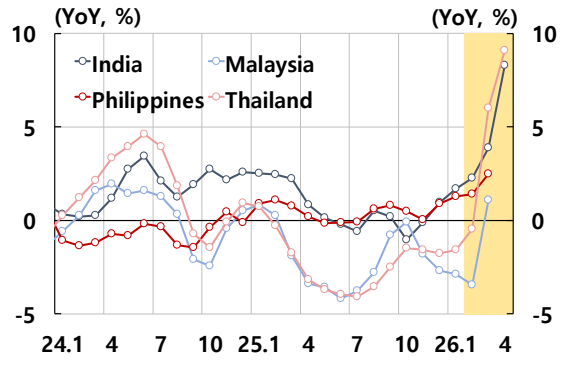
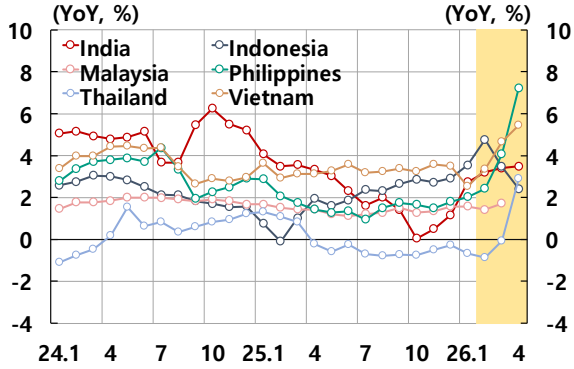


Figure 1.17. Consumer price inflation in Asian EMEs



Sources: National statistics offices, Haver Analytics.

[31] ► Share of crude oil imports sourced from the Middle East (%): India 53, Philippines 95, Vietnam 88, Malaysia 69, Thailand 52, Indonesia 20

[32] Fiscal deficit as a share of nominal GDP (2025, %): India -5.0, Philippines -6.0, Thailand -5.5, Vietnam -3.6.

[33] ► Stock index performance (% change between February 27, and May 12): India -6.7, Indonesia -17.0, Philippines -9.7
► Exchange rate performance (% change between February 27, and May 12; local currency per USD): India +5.1, Indonesia +4.4, Philippines +6.6

[34] India's 2026 southwest monsoon rainfall is projected at about 92% of the long-term average (±5 percentage points) due to El Niño effects.

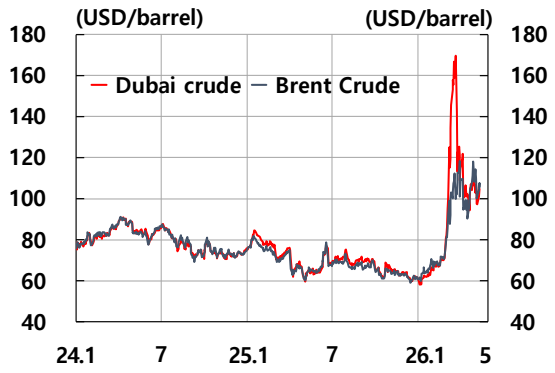
1.8. Global oil prices (Brent crude) are expected to ease as vessel traffic through the Strait of Hormuz recovers, but the decline is likely to be constrained by repairs to energy infrastructure and renewed crude restocking demand. After the outbreak of the Middle East conflict, global oil prices rose sharply, reaching USD 118 per barrel on April 29, and have since remained elevated amid substantial volatility. Although tensions between United States and Iran have eased somewhat compared with the early phase of the conflict, supported by the ceasefire agreement on April 7 and subsequent MOU negotiations on May 6, crude oil prices have remained[35] in the USD 100 range as the blockade of the Strait of Hormuz continues.

Going forward, global oil prices are expected to decline only gradually as the blockade of the Strait of Hormuz is lifted.[36] Even after vessel traffic through the strait resumes, a return to pre-war price levels is likely to take considerable time, reflecting mine-clearance, persistently elevated war-risk insurance premiums, slow restoration of confidence in the safety of the route, and delays[37] in refinery repairs and the resumption of oil field production.

Key variables for the oil price path outlook include the timing of the reopening of the Strait of Hormuz and the pace at which logistics conditions normalize. Summer travel demand and restocking demand for crude oil by importing countries are expected to pose short-term upside risks to prices, whereas the potential for increased crude production by the United States and UAE, which recently withdrew from OPEC, is likely to constitute a medium-term downside risk.

Global oil prices have recently remained in the USD 100 range

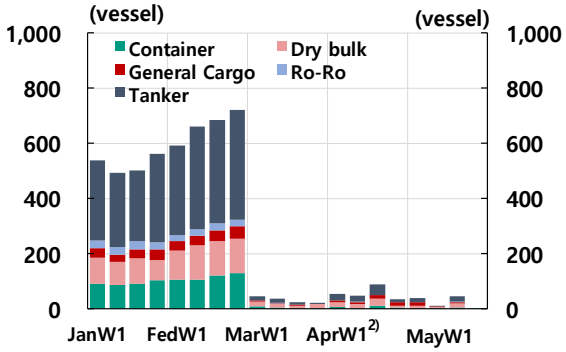
Figure 1.18. Global oil prices



Source: Bloomberg.

Ship traffic through the Strait of Hormuz is extremely low

Figure 1.19. Number of ships passing through the Strait of Hormuz[1)]



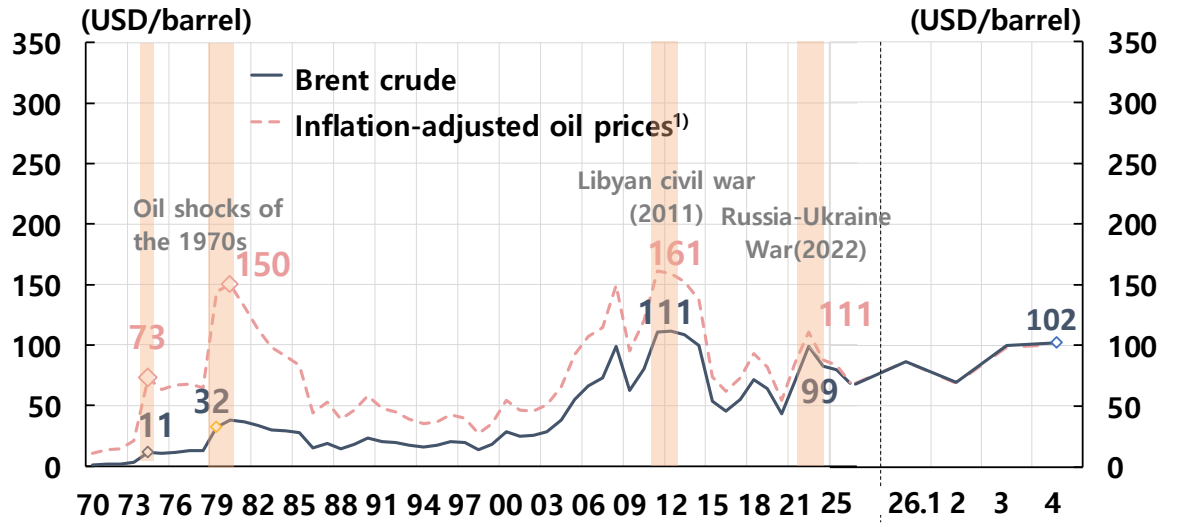
Notes: 1) Weekly number of vessel transits (for May, the first week is defined as May 3 to 9).
2) For April, data are shown for the first to fifth weeks.
Source: IMF PortWatch.

[35] Nevertheless, global oil prices remain below the peak of USD 128 per barrel reached during the Russia-Ukraine war. For details, see "FYI 2. Review of Global Crude Oil Inventories After the Outbreak of the Middle East Conflict."
[36] Many institutions, including the EIA, expect navigation through the Strait of Hormuz to resume in the second quarter, but significant uncertainty persists amid stalled U.S.-Iran nuclear talks.
[37] Related industry participants expect that, given the sensitivity of oil fields and refineries to temperature and pressure conditions, it will take at least six months to one year for production to resume and stabilize.

FYI 2 Review of Global Crude Oil Inventories After the Outbreak of the Middle East Conflict

As of May, with the blockade of the Strait of Hormuz now in its third month, global oil prices remain above their pre-war levels but have been more stable than initially expected. Crude oil prices, currently trading in the USD 100 range, remain below the peak of USD 128 reached on March 8, 2022, during the Russia–Ukraine war, and are also well below the USD 150 level that many market participants had expected if the conflict were to become prolonged (Figure 1).

Figure 1. Inflation-adjusted global oil prices[1)2)]



Notes: 1) Inflation-adjusted series estimated by deflating the Brent crude prices using the consumer price index.
2) Data prior to 2025 are annual averages; data for 2026 are monthly average prices.
Sources: Bloomberg, World Bank, BP, S&P Global, Research Department.

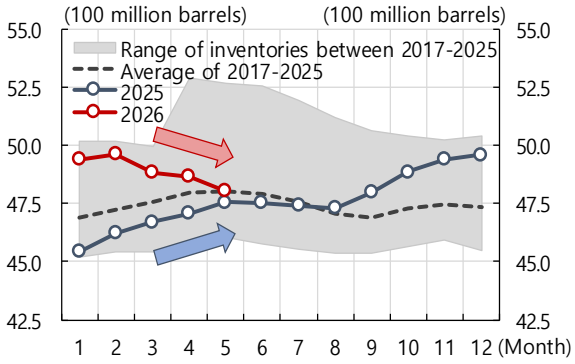
Relatively low crude prices, despite an unprecedented Strait of Hormuz disruption not seen even during the oil shocks of the 1970s, appears to reflect both the cushioning effect of ample crude inventories and market expectations for an early end to the Middle East conflict. Amid the OPEC+ production increases that began in April 2025, excess supply in the oil market persisted. As a result, global crude oil inventories immediately before the conflict were close to their highest level in five years (Figure 2), and, in particular, crude oil "on water"[38] reached a record high (Figure 3).[39] Because these ample inventories were able to partly offset the reduction in crude supply caused by the Middle East conflict, market participants did not feel the full impact of the Strait of Hormuz closure.

However, as the Strait of Hormuz blockade persists, there is growing concern that this buffer will be difficult to sustain. Although the first half of the year is typically a period of stock-building ahead of peak summer travel demand, global crude oil inventories have instead been declining since March this year. Until May, crude shipments that had begun moving before the conflict, together with additional Russian crude released under temporarily eased sanctions, helped slow the pace of inventory drawdowns. From June onward, however, this effect is expected to fade, and the rate of global inventory depletion is likely to accelerate.

[38] "Oil on water" refers to crude oil held in long-term floating storage as well as volumes currently in transit.
[39] The increase in global oil on water in April is mainly attributable to Middle East crude that could not be exported due to the Strait of Hormuz blockade and was instead stored on tankers in the Persian Gulf.

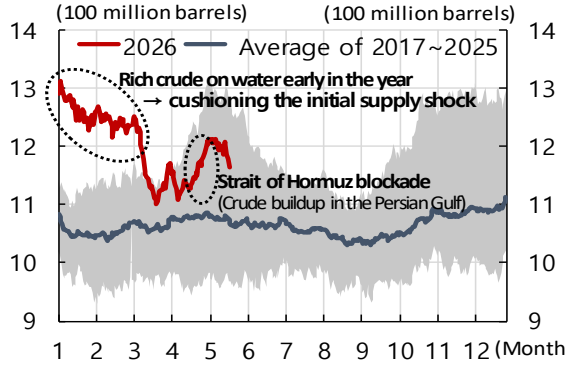
Petroleum product[40] markets, where inventories are relatively thin compared with crude oil, are facing even more acute pressures. Gasoline and jet fuel, which depend heavily on crude produced in the Middle East and on the refineries located there, are under particular pressure. Oil on water for these products (Figure 4) fell sharply immediately after the outbreak of the war and, as of May, has already dropped below average-year levels. From June onward, declining crude oil arrivals combined with peak summer travel demand are set to accelerate inventory drawdowns, raising the risk of sharp supply shortages in some regions. In particular, emerging market economies, which are already struggling to secure adequate energy supplies, are likely to suffer particularly severe economic fallout. **If the Middle East conflict persists, supply-side risks that are not yet fully reflected in oil prices could materialize, leading to further upward pressure on oil prices and a larger drag on the global economy.**

Figure 2. Global crude oil inventories[1)]



Note: 1) Includes crude oil held on land and on water.
Source: Kpler (as of May 19).

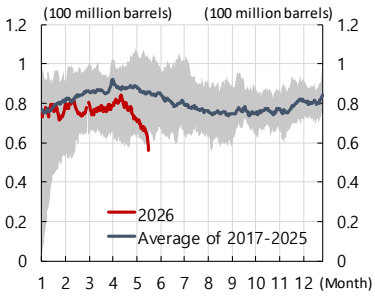
Figure 3. Global crude oil on water[1)2)]



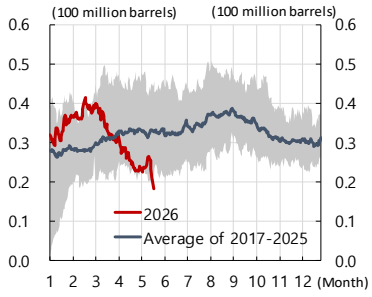
Notes: 1) Oil on water only.
2) Shaded area shows the range of inventories between 2017 and 2025.
Source: Kpler (as of May 19).

Figure 4. Petroleum product inventory on water[1)2)]

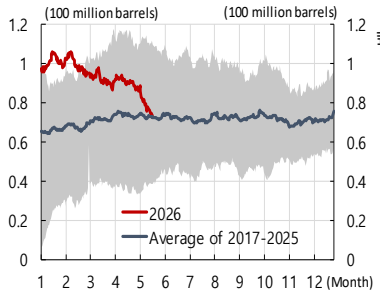
Gasoline



Jet fuel



Diesel



Notes: 1) Commodities on water only.
2) Shaded area shows the range of inventories between 2017 and 2025.
Source: Kpler (as of May 19).

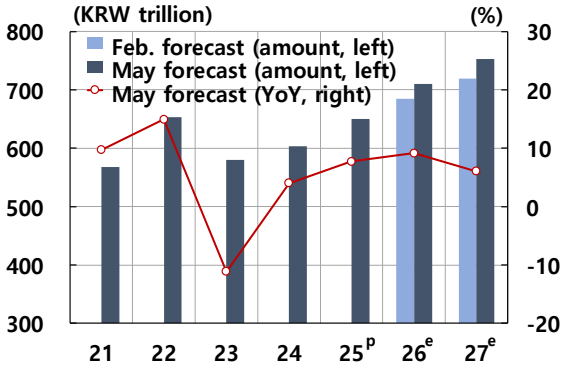
[40] Since refined petroleum products such as gasoline and jet fuel involve high storage costs and are subject to significant demand volatility, it is difficult to maintain inventories on the same scale as for crude oil. In addition, the permanent closure of some refinery facilities during the COVID-19 pandemic, together with a lack of new investment amid the broader energy transition, has markedly reduced supply elasticity compared with the past, further contributing to shortages of refined petroleum products.

Korea's Economy

1.9. The central government's consolidated fiscal expenditure is projected to grow at a faster pace than previously expected, supported by the supplementary budget and improvement in tax revenue conditions. In the first quarter, fiscal expenditure rose modestly, increasing[41] by 1.1% year-on-year. From the second quarter, it is expected to grow at a faster pace as the supplementary budget[42] in response to the Middle East situation is implemented, resulting in a higher annual growth rate than in the previous year. Tax revenue is expected to remain on a favorable trend,[43] supported by strong performance in the semiconductor sector.

Central government fiscal expenditure growth accelerates

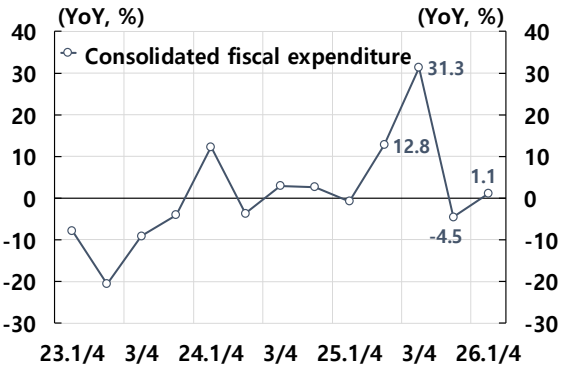
Figure 1.20. Outlook for consolidated fiscal expenditure



Sources: Ministry of Planning and Budget, Research Department.

Fiscal expenditure in the first quarter rises slightly

Figure 1.21. Quarterly consolidated fiscal expenditure



Source: Ministry of Planning and Budget.

[41] Current expenditure increased by 4.8% year-on-year, while capital expenditure and net lending declined by 19.0% and 48.0%, respectively.

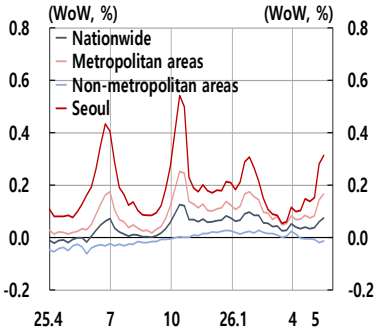
[42] The supplementary budget approved by the National Assembly on April 10 amounts to KRW 26.2 trillion, including KRW 10.4 trillion to ease the high oil price burden on households, KRW 2.5 trillion for livelihood stability, KRW 2.6 trillion to minimize industrial damage and secure supply chains, KRW 9.7 trillion to bolster local finances, and KRW 1.0 trillion for government bond repayment. In the supplementary budget, the government designated KRW 10.5 trillion, including the High Oil Price Relief Funds (KRW 4.8 trillion), for priority, fast-track execution management and set a target execution rate of 85% in the first half of the year (Ministry of Planning and Budget, April 11).

[43] ► Cumulative national tax collection rate as of March (%): 25.0 in 2025 → 26.2 in 2026 (recent five-year average: 25.9)

1.10. Housing sales prices in the Seoul metropolitan area, as measured by the weekly apartment sales price index, have been rising at a faster pace, driven mainly by increases in Seoul. Mid- and low-priced districts in Seoul continued to record strong increases, driven by the shift in demand from jeonse to home purchases amid elevated *jeonse* prices and limited new housing supply, while high-priced districts also returned to an upward trend from late April. In the Seoul metropolitan area excluding Seoul, housing prices in some conveniently located areas[44] continued on an upward trend, while non-metropolitan regions generally remained weak. Meanwhile, *jeonse* prices have risen at a faster pace since March, reflecting an imbalance between supply and demand.

Regional divergence emerges in apartment sales prices

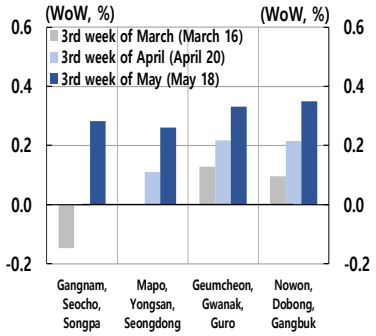
Figure 1.22. Weekly apartment sales price index[1)]



Note: 1) Weekly trends.
Source: Korea Real Estate Board.

All major districts in Seoul are on an upward trend

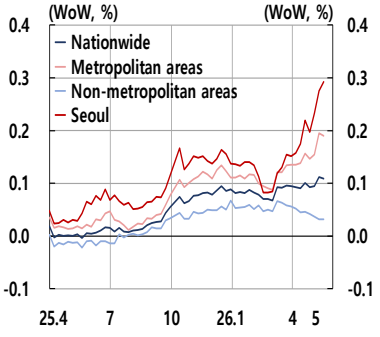
Figure 1.23. Seoul housing sales price index by district[1)]



Note: 1) Weekly trends.
Source: Korea Real Estate Board.

Apartment *jeonse* prices continue to increase

Figure 1.24. Weekly apartment *jeonse* price index[1)]



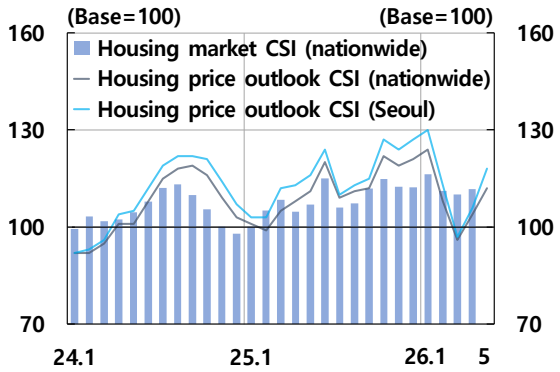
Note: 1) Weekly trends.
Source: Korea Real Estate Board.

[44] According to the weekly apartment sales price index (Korea Real Estate Board, second to third week of May 2026, %), apartment prices in Gyeonggi-do rose sharply in Gwangmyeong (0.67 → 0.68) and Hanam (0.42 → 0.30), while remaining weak in Paju (-0.10 → -0.07) and Goyang (-0.06 → -0.05).

1.11. Looking ahead, while housing prices in the Seoul metropolitan area are expected to continue rising, the extent of the increase is likely to remain contained by the government's policy measures. Housing prices in the Seoul metropolitan area are expected to continue their rise, supported by the persistent upward trend of *jeonse* prices and growing concerns over supply and demand instability stemming from a shortage of new housing supply. However, with funding conditions constrained by tighter household debt management and rising lending rates, the government's policy stance going forward is likely to partly temper further price increases. For non-Seoul metropolitan areas, housing market weakness is expected to persist, particularly in regions facing an oversupply of housing.[45]

Expectations for rising housing prices rebounded in April

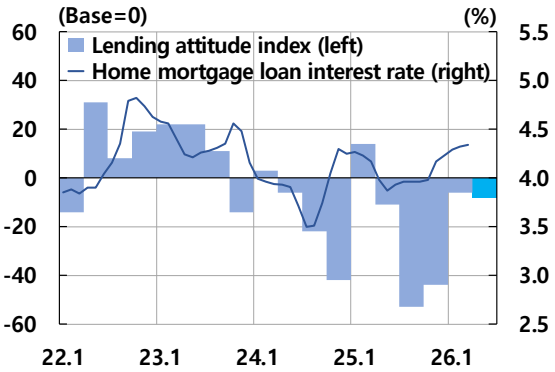
Figure 1.25. Housing price outlook CSI and housing market CSI



Sources: Bank of Korea, Korea Research Institute for Human Settlements.

Lending attitude tightens, and lending rates rise

Figure 1.26. Lending attitude index[1] and home mortgage loan rate



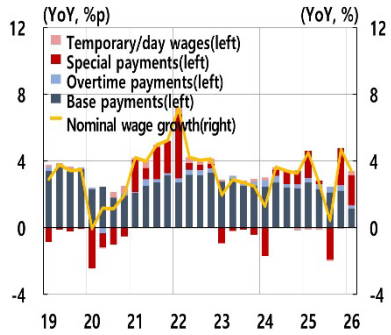
Note: 1) Positive and negative values indicate easing and tightening of lending attitudes, respectively. Figures for Q2 2026 are based on projections.
Source: Bank of Korea.

[45] As of the end of March 2026, unsold new housing units in non-Seoul metropolitan areas totaled 47,000, exceeding the recent 10-year (2016–2025) average of 42,000 units. Notably, inventories remained elevated in Busan (7,200 units), Daegu (5,000), Cheonan in Chungnam (3,100), and Pohang in Gyeongbuk (2,200).

1.12. Recent increases in nominal wage growth have been driven mainly by special payments to regular employees. In the first quarter of this year, nominal wages rose by 3.4% year-on-year, extending their upward trend. While regular pay for permanent employees continued to grow at a modest pace of 2.2%, special payments recorded a sharp increase, following a substantial rebound in the fourth quarter of last year. The recent rise in special payments is partly attributable to higher performance-based pay, reflecting improved earnings at IT firms. Wages of temporary and daily employees have also shifted to an upward trend, as the weakness in construction sector employment has eased somewhat.

Nominal wage growth continued, driven by special payments

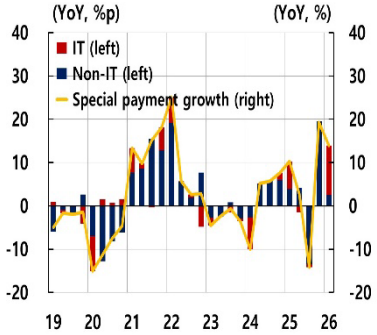
Figure 1.27. Nominal wage growth rate and contributions



Source: Ministry of Employment and Labor.

Special payments are rising mainly on performance pay in the IT sector

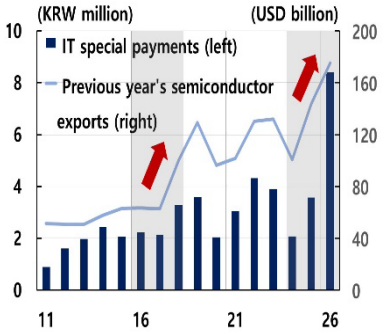
Figure 1.28. Special payments growth rate and IT[1] and non-IT contributions[2]



Notes: 1) Refers to electronic components, computer and medical precision device within the manufacturing sector.
2) Average of figures in January and February for the first quarter of 2026.
Source: Ministry of Employment and Labor.

Recent performance-based pay in the IT sector has increased more sharply than during past semiconductor booms

Figure 1.29. IT[1] sector special payments (Jan.-Feb.) and semiconductor exports of the previous year[2]

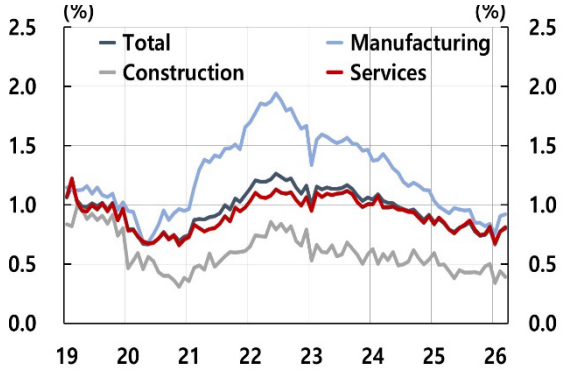


Notes: 1) Refers to electronic components, computer and medical precision device within the manufacturing sector.
2) Shading indicates semiconductor booms.
Sources: Ministry of Employment and Labor, Korea Customs Service.

1.13. Going forward, nominal wage growth is projected to accelerate, driven primarily by a significant increase in special payments in the IT sector. Permanent employees' special payments are expected to grow at a faster pace, reflecting a substantial increase in corporate earnings at major IT firms amid sustained strength in semiconductor exports. However, base payments are expected to increase only gradually, in line with a slow recovery in labor demand as indicated by the job vacancy rate. Looking ahead, a key risk to nominal wages is that pay increases in the IT sector could spill over to other sectors.

Job vacancy rate rebounds, driven by the services sector

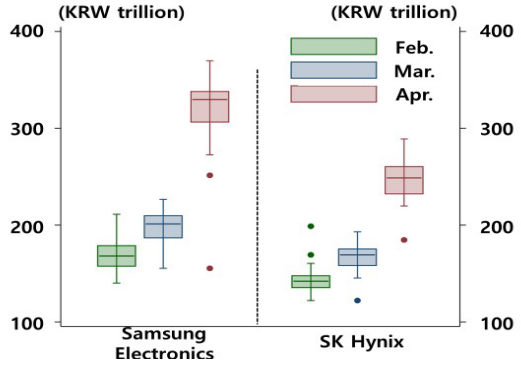
Figure 1.30. Job vacancy rate by sector



Source: Ministry of Employment and Labor.

Major IT firms substantially raise their operating income projections for this year

Figure 1.31. Distribution of operating income projections for Samsung Electronics and SK Hynix[1)]



Note: 1) Based on forecasts from 15 to 24 domestic and foreign securities firms and investment banks (IBs). The top, middle, and bottom lines of each box represent the 75th, 50th, and 25th percentiles of the distribution, respectively. The ends of the whiskers indicate the maximum and minimum values; and the dots represent outliers.

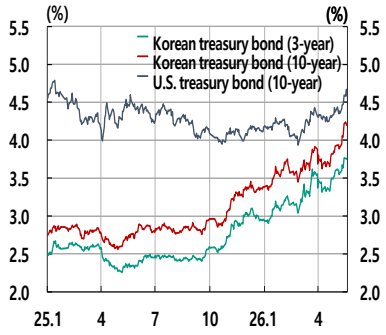
Source: FnGuide.

1.14. Long-term market interest rates have soared since the February projection, reflecting heightened concerns over inflation following the Middle East conflict and the resulting shift in monetary policy expectations. Treasury bond yields have climbed substantially as inflation concerns have intensified, amid a sharp rise in global oil prices following the war in the Middle East and a concurrent increase in exchange rates. In April, the earlier rise in Treasury bond yields partially reversed, reflecting the impact of the U.S.-Iran ceasefire agreement and expectations for capital inflows linked to South Korea's inclusion in the WGBI. However, yields resumed their upward trend thereafter, driven by delays in U.S.-Iran negotiations to end the war, stronger-than-expected domestic GDP growth in the first quarter, and hawkish assessments[46] from monetary policy meetings in major economies. In the corporate bond market, rising interest rate uncertainty from March weighed on investment sentiment, leading to a moderate widening[47] of credit spreads. From May, however, spreads narrowed slightly as investors began to view higher interest rates as offering more attractive investment opportunities. Stock prices (KOSPI) fell sharply in March, weighed down by heightened global risk aversion amid escalating geopolitical tensions in the Middle East and uncertainty over monetary policy in major economies. From April, however, stock prices rebounded strongly, supported by the semiconductor sector boom and improved earnings expectations,[48] despite persistent concerns over a protracted Middle East conflict. The KRW/USD exchange rate has remained highly volatile at an elevated level, fluctuating in line with developments in the Middle East.

Long-term interest rates and stock prices rise sharply

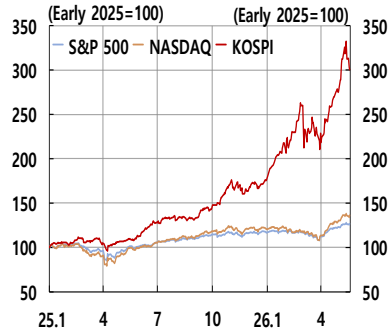
KRW/USD exchange rate shows high volatility

Figure 1.32. Korea and U.S. treasury bond yields



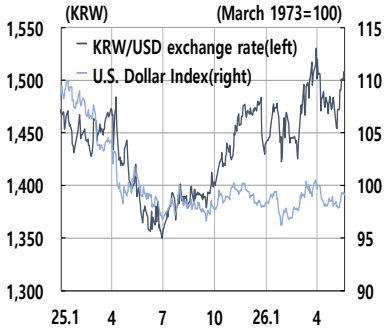
Sources: Bank of Korea, Bloomberg.

Figure 1.33. Stock prices in Korea and the U.S.



Sources: Bank of Korea, Bloomberg.

Figure 1.34. KRW/USD exchange rate and U.S. Dollar Index



Sources: Bank of Korea, Bloomberg.

[46] Market participants interpreted recent monetary policy meetings in major economies as hawkish. This view reflected, first, the Bank of Japan's April 27–28 meeting, where three of the nine Policy Board members dissented in favor of raising the policy rate, and second, the April 28–29 U.S. FOMC meeting, at which three members indicated a preference for removing statement wording that implied an easing bias in future policy decisions.

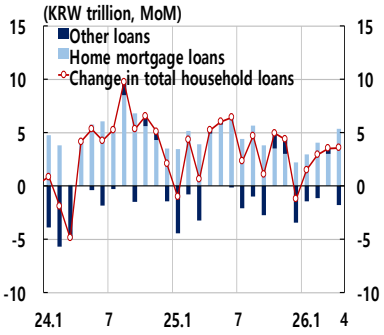
[47] ► Credit spreads of corporate bonds (AA-, 3-year, bp): 59 at the end of Feb. 2026 → 63 at the end of Mar. → 65 at the end of Apr. → 61 on May 20 (long-term average: 51)

[48] In the first quarter of this year, Samsung Electronics (sales: KRW 133.9 trillion, operating income: KRW 57.2 trillion) and SK Hynix (sales: KRW 52.6 trillion, operating income: KRW 37.6 trillion) posted record-high results. Reflecting this strong performance by major semiconductor manufacturers, projections for the aggregate operating income of all listed companies were revised up significantly, from KRW 609.3 trillion at the end of February to KRW 905.4 trillion as of May 20 (+48.6%, Dataguide).

1.15. Household loan growth remained subdued under tighter macroprudential measures, while corporate funding continued to increase at a modest pace. Household loans across financial institutions increased by around KRW 2 to 3 trillion per month, amid the continued implementation of stricter lending regulations.[49] By loan type, housing-related loans continued to see net redemptions of *jeonse* loans, but still recorded some growth, reflecting increased housing transactions[50] early in the year. Other household loans showed net repayment overall, reflecting seasonal factors such as special payments early in the year, although the extent of repayment was limited by increased stock investment by individuals. Banks' corporate lending increased markedly, reflecting major banks' efforts to expand corporate credit in support of "productive finance" and to meet firms' funding needs for business operations and corporate bond redemptions. On the other hand, funding through direct financing channels remained sluggish compared with typical years, as firms refrained from issuing corporate bonds amid heightened interest rate volatility following the Middle East conflict and instead turned to alternative funding sources such as bank loans.

Household loan growth remains relatively low

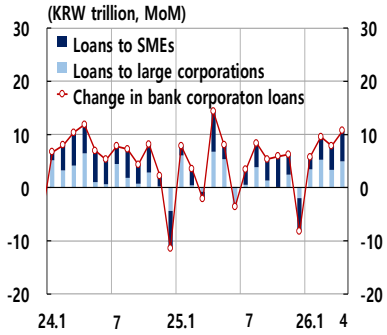
Figure 1.35. Changes in household loans[1)2)]



Notes: 1) Deposit-taking banks and non-bank financial institutions.
2) Excluding policy loans from the Housing and Urban Fund (own resources).
Source: Bank of Korea.

Banks' corporate loans increased substantially

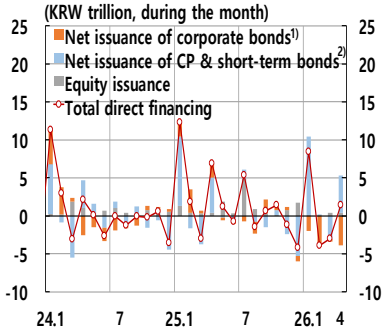
Figure 1.36. Changes in banks'[1)] corporate loans



Note: 1) Based on loans at deposit-taking banks.
Source: Bank of Korea.

Direct corporate financing is sluggish compared to typical years

Figure 1.37. Direct corporate financing



Notes: 1) Including P-CBO.
2) Based on general companies.
Source: Bank of Korea.

[49] On April 1, the Financial Services Commission announced that the household loan growth target for the financial sector for this year was set at 1.5%, below last year's target of 1.7%.

[50] ► Seoul apartments (1,000 units): 8.5 in Oct. 2025 → 3.4 in Nov. → 4.8 in Dec. → 5.4 in Jan. 2026 → 5.8 in Feb. → 5.5 in Mar. → 8.4^{e} in Apr.
► Nationwide housing (10,000 units): 5.8 in Oct. 2025 → 5.4 in Nov. → 5.3 in Dec. → 6.0 in Jan. 2026 → 5.1 in Feb. → 6.2 in Mar. → 6.3^{e} in Apr.

Main Premises of the Baseline Outlook

▶ **Global economic growth rate (%): 3.4 in 2024 → 3.4 in 2025 → 2.9 (down 0.2) in 2026 → 3.1 (down 0.1) in 2027**

- Global growth forecasts for 2026 and 2027 have been revised downward by 0.2 percentage points and 0.1 percentage points, respectively, reflecting supply-side shocks stemming from the Middle East.
- For **the United States**, growth forecasts for 2026 and 2027 have been lowered by 0.2 percentage points and 0.1 percentage points, respectively, as the drag from the war in the Middle East exceeds the boost from the ongoing AI investment boom. In **the euro area**, growth projections for 2026 and 2027 have been revised down by 0.4 percentage points and 0.2 percentage points, respectively, as higher energy prices exert stronger downward pressure on economic activity. **China**'s exports are expected to stay relatively favorable, as its substantial crude oil stockpiles help cushion the impact of the energy shock. Accordingly, the growth projection for 2026 remains unchanged, while the forecast for 2027 has been revised down by 0.1 percentage points.

▶ **Global trade growth (%): 3.3 in 2024 → 4.8 in 2025 → 2.8 (up 0.3) in 2026 → 3.2 (unchanged) in 2027**

- **Global trade growth** in 2026 has been revised **upward** by **0.3 percentage points**, supported by strong AI-related trade, despite the closure of the Strait of Hormuz.

▶ **Global oil prices (Brent crude, USD/barrel): 80 in 2024 → 68 in 2025 → 93 (up 29) in 2026 → 80 (up 15) in 2027.**

- Reflecting the impact of the Middle East conflict, the oil price forecasts have been revised up by USD 29 for 2026 and USD 15 for 2027.

	2025	2026e)			2027e)		
	Year	H1	H2	Year1)	H1	H2	Year1)
Baseline assumptions of the outlook							
Global economic growth (%)3)	**3.4**	2.9	2.9	**2.9 [-0.2]**	3.0	3.1	**3.1 [-0.1]**
• United States	**2.1**	2.4	1.7	**2.1 [-0.2]**	2.0	2.0	**2.0 [-0.1]**
• Euro area	**1.4**	0.8	0.7	**0.8 [-0.4]**	1.0	1.3	**1.2 [-0.2]**
• China	**5.0**	4.7	4.5	**4.6 [-]**	4.3	4.3	**4.3 [-0.1]**
• Japan	**1.1**	0.1	1.0	**0.5 [-0.1]**	0.5	0.8	**0.7 [-0.1]**
Global trade growth (%)2)	**4.8**	3.0	2.5	**2.8 [+0.3]**	2.9	3.6	**3.2 [-]**
Brent crude oil price (USD/barrel)3)	**68**	91	95	**93 [+29]**	83	77	**80 [+15]**

Notes: 1) Figures in [ ] indicate change from February 2026 projections.
2) Year-on-year.
3) By period average.
Sources: statistical offices in each area, Bloomberg, Bank of Korea.

2. Macroeconomic Outlook for Korea

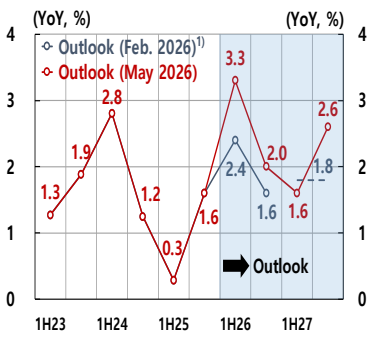
Economic Growth

2.1. The Korean economy is projected to grow 2.6% this year, well above the 2.0% forecast in February, as semiconductor exports remain considerably stronger than expected while government measures, including the supplementary budget, partly cushion the supply shock stemming from the Middle East. During the **first quarter**, the economy posted high growth of 1.7% quarter-on-quarter (3.6% year-on-year), supported by a sharp increase in exports and investment driven by robust semiconductor exports, alongside a continued recovery in private consumption. Growth is expected to register 0.2% quarter-on-quarter (3.0% year-on-year) in the **second quarter**: despite the impact of the Middle East war and base effects from the previous quarter's strong growth, semiconductor exports maintain their solid momentum, and government measures such as the supplementary budget, together with firms' inventory drawdowns, cushion the shock from the Middle East. Turning to the **second half**, **third-quarter** growth is expected to slow to 0.0% (1.7% year-on-year), as the persistent global energy supply-demand imbalance and the cumulative impact of high oil prices heighten cost pressures across the economy and cause production disruptions in certain industries. The recovery is then expected to resume in the **fourth quarter**, at 0.4% (2.2% year-on-year), as energy supply chains gradually normalize. Taken together, annual growth this year is projected at 2.6%,* significantly higher than the 2.0% forecast in February. **In 2027, the economy is expected to grow 2.1%, above the previous projection of 1.8%, as gradually falling oil prices and improved income conditions—driven by strong earnings at IT firms—lead to firmer consumption growth.**

* The forecast was revised up substantially, as stronger-than-expected IT exports (+0.7pp) and stock market strength (+0.1pp) are assessed to exert upward pressure, while government measures such as the supplementary budget (+0.2pp) cushion the shock from the Middle East war (contribution of −0.4pp).

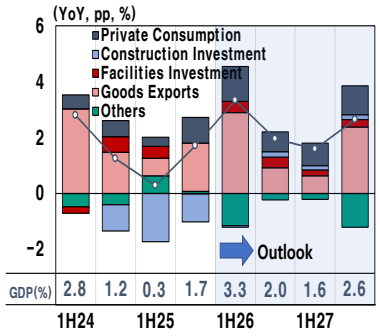
Growth at a favorable pace is expected on robust semiconductor conditions, with government measures and inventory drawdowns cushioning the Middle East shock.

Figure 2.1. Outlook for GDP growth



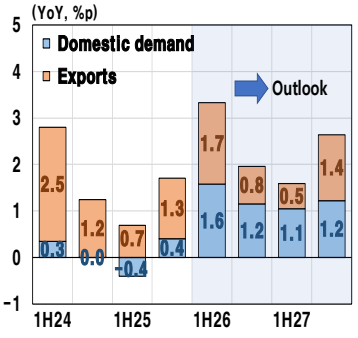
Note: 1) Dotted line represents the annual projection for 2027.
Source: Research Department.

Figure 2.2. Contributions to GDP growth by expenditure



Source: Research Department.

Figure 2.3. Net contributions of domestic demand and exports to growth1)



Note: 1) Estimated by deducting the import-inducement effect.
Source: Research Department.

This year's growth rate is projected to be 2.6%, up 0.6 percentage points from the February forecast.

Figure 2.4. Revision to GDP growth projection for 2026 by main driver

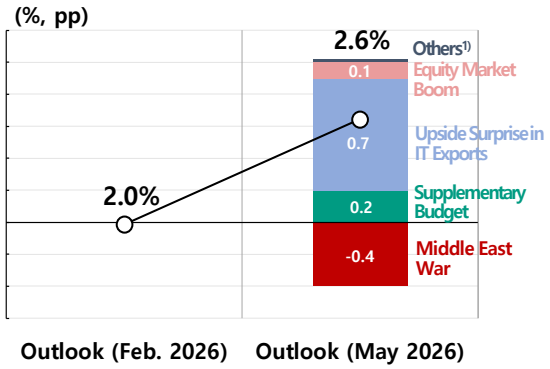
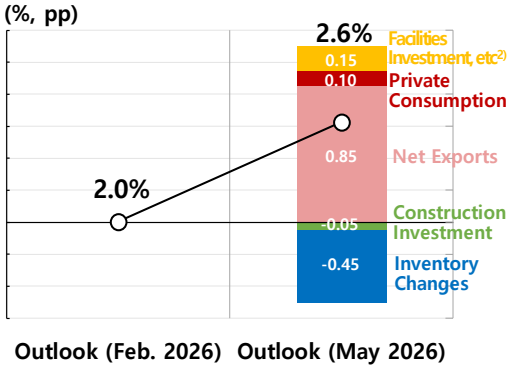


Figure 2.5. Revision to GDP growth projection for 2026 by expenditure

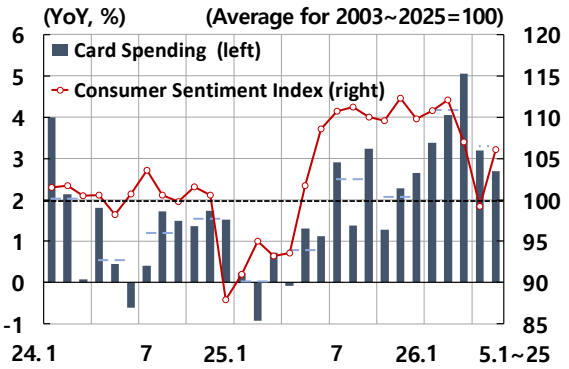


Notes: 1) Includes adjustments to assumptions such as temporary tariffs.
2) Facilities investment includes intellectual property products.

2.2. By sector, private consumption growth is projected to exceed the previous outlook, supported by improving income and asset conditions. In the first quarter, private consumption recorded solid growth, driven mainly by goods spending, particularly on high-end discretionary goods including imported luxury goods purchased at department stores and apparel, driven by optimistic sentiment and a stock-related wealth effect. In the second quarter, growth momentum remained supported by the stock market boom and supplementary budget, despite war in the Middle East and rising energy prices. Going forward, private consumption is expected to face headwinds from the war's repercussions, including higher market interest rates and inflationary pressures, but it is still projected to grow above the previous forecast path, as improving income and asset conditions supported by favorable IT export performance are likely to offset these downside factors. Still, because the benefits of the export boom are concentrated in a limited set of sectors, it will take some time before the pickup in consumption spreads broadly across the economy. In summary, private consumption, which had increased by only around 1% annually over the past two years, is now projected to grow more strongly, by 2.0% this year and 2.1% next year, placing both forecasts in the 2% range.

Private consumption continues its solid increase

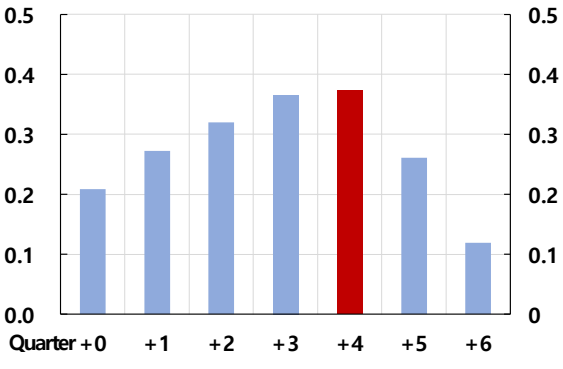
Figure 2.6. Consumer sentiment and card spending1)



Note: 1) Based on real terms. Dotted lines indicate quarterly averages.
Source: Bank of Korea.

Recent IT export boom is likely to boost consumption over time

Figure 2.7. Cross-correlation coefficient between semiconductor exports and private consumption1)

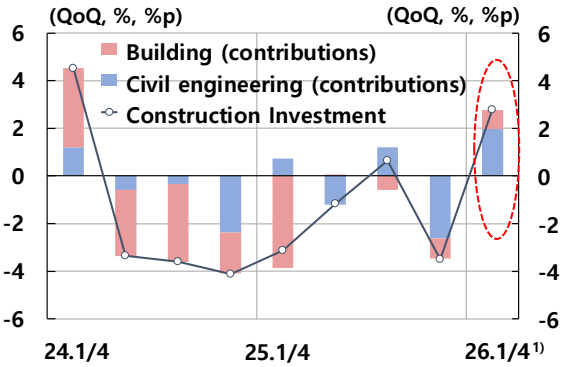


Note: 1) Cross-correlation coefficient between the cyclical component of private consumption and semiconductor export gap rate, based on data from the first quarter of 2002 to the fourth quarter of 2025.
Source: Bank of Korea.

2.3. Construction investment is projected to fall short of the previous forecast path, as higher costs weigh on activity despite expanded AI-related investment.[51] In the first quarter of this year, construction investment increased on a quarter-on-quarter basis, supported by progress in semiconductor cluster projects and a pickup in new housing starts,[52] but it remained on a downward trend in year-on-year terms. Going forward, while robust AI-related investment and expanded SOC projects will help alleviate the construction investment slump, overall construction investment is expected to fall short of the previous forecast, as higher construction costs following the Middle East conflict and disruptions in building material supplies continue to constrain activity. In summary, construction investment is projected to grow by 0.6% this year and 1.5% next year.

In the first quarter, construction investment increased mainly on the back of AI infrastructure projects

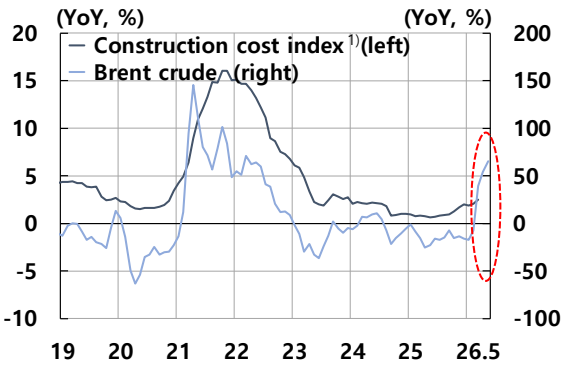
Figure 2.8. Construction investment[1)]



Note: 1) Contributions from building and civil engineering projects in the first quarter of 2026 are estimates.
Source: Bank of Korea.

Rising raw material prices are putting upward pressure on construction costs

Figure 2.9. Global oil prices and construction costs



Note: 1) The construction cost index measures changes in direct construction costs, such as materials, labor, and equipment used in construction work, and is used as a reference index for estimating construction costs.
Sources: Korea Institute of Civil Engineering and Building Technology, Bloomberg.

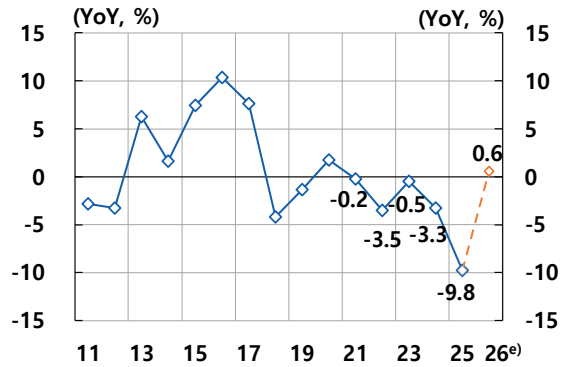
[51] For further details, refer to "FYI 3. The Impact of Disruptions in Construction Materials Supply and Higher Oil Prices on Construction Investment."

[52] Housing start area in the first quarter of this year increased by 9.7% year-on-year due to base effects, but its absolute level was only about two-thirds of the average for normal years (from 2020 to the first quarter of 2025).

FYI 3 The Impact of Disruptions in Construction Materials Supply and Higher Oil Prices on Construction Investment

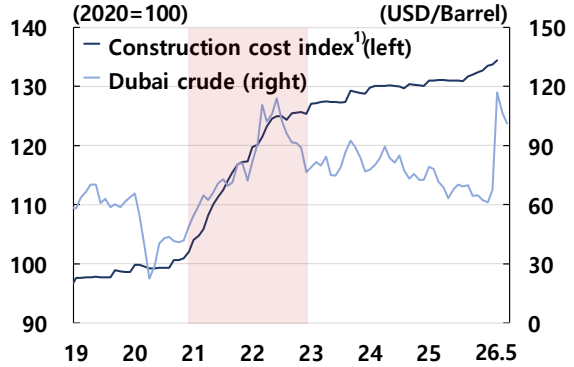
Construction investment is projected to turn positive this year, reversing the downward trend observed over the past five years, although the Middle East conflict is likely to constrain the pace of the recovery. In the first quarter, construction investment grew by 2.8% quarter-on-quarter, driven by a significant increase in semiconductor cluster projects.[53] However, disruptions in the supply of key construction materials following the Middle East conflict have led to work stoppages[54] at some construction sites, raising concerns about adverse effects on construction investment. Furthermore, drawing on past episodes in which construction costs surged amid supply disruptions during the pandemic and the Russia-Ukraine war, a protracted conflict in the Middle East is likely to put upward pressure on construction costs again. Hence, this section examines the current state of supply disruptions in the construction sector and assesses the impact of higher oil prices on construction activity.

Figure 1. Construction investment growth[1)]



Note: 1) The 2026 projections are based on the 2026 May outlook.
Source: Bank of Korea.

Figure 2. Construction costs[1)]



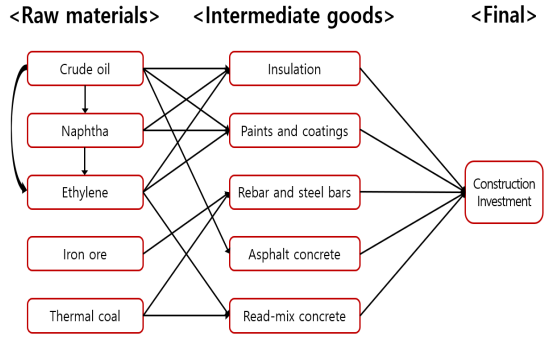
Note: 1) Measures changes in direct construction costs, such as materials and labor used for construction projects. Shaded area indicates periods when construction costs rose sharply during the pandemic and Russia-Ukraine war.
Sources: Korea Institute of Civil Engineering and Building Technology, Bloomberg.

(1) Construction Materials Supply Disruptions

Since the beginning of the Middle East crisis, supply conditions have deteriorated, particularly for key construction materials with high petroleum dependency such as asphalt concrete, concrete admixtures, paints and coatings, and insulation and waterproofing materials. In particular, by late April, inventories of asphalt concrete and concrete admixtures were expected to be depleted within about two weeks and one month, respectively, heightening concerns about potential construction work stoppages.

[53] However, construction investment declined by 1.4% year-on-year, making it difficult to conclude that it is on a stable recovery path.
[54] As road construction projects of local governments across the country were unable to proceed due to shortages of asphalt concrete, the government decided to postpone non-urgent road repair work (Emergency Economy Headquarters Meeting and Economic Ministers' Meeting held on April 3).

Figure 3. Transmission path from raw materials[1] to construction investment



Note: 1) Estimated based on the input-output table.
Source: Bank of Korea.

Figure 4. Supply and demand conditions for key items (as of April 28, 2026)[1]

	Inventory	
	Inventory now	Inventory after one month
Naphtha, basic petrochemicals	1 month	2-3 months
Asphalt	2 weeks	2 weeks
Concrete admixtures	1 month	2-3 months
Volume-rate garbage bags	2-3 months	3 months
Injectors	1 month	2-3 months

Note: 1) Reconstructed from government data
Source: government report on key item supply conditions (media citation).

However, as the government and industries have responded by controlling demand and securing alternative supplies—for example, by delaying certain processes and adjusting order placements—there have been no major disruptions so far, apart from some localized construction site stoppages. In the Seoul metropolitan area, the supply of ready-mix concrete continued to increase[55] through April. In May, the risk of a complete suspension of construction material supplies eased temporarily, as alternative sources of crude oil and naphtha were secured. However, supply shortages of asphalt concrete[56] persist, causing some disruptions in local governments' SOC budget execution, including road repair projects.[57]

The government and industries are understood to have secured key raw materials to some extent through July this year.[58] If the Middle East conflict becomes prolonged, however, supply disruptions in construction materials could emerge in the second half of the year. So far, disruptions to construction activity caused by shortages of construction materials are assessed to be limited in scale. During the pandemic, however, a rapid decline in construction material inventories over a short period led to dramatic increases in construction costs and a contraction in construction investment, suggesting that the current conditions cannot yet be regarded as fully stable. Because the construction industry is relatively vulnerable to declines in the supply of petroleum products, the impact of the Middle East conflict may prove greater there than in other sectors.

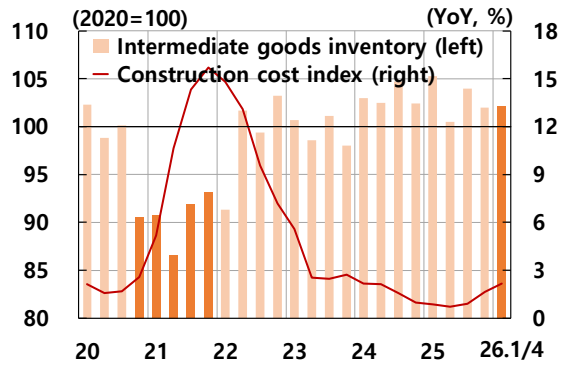
55 ▶ Supply of ready-mix concrete in the Seoul metropolitan area (year-on-year, %): 7.2 in Jan. 2026 → 7.6 in Feb. → 16.2 in Mar. → 10.5 in Apr.

56 In May, the supply of asphalt concrete declined by more than 70% year-on-year (Ministry of Land, Infrastructure and Transport).

57 Following the onset of the Middle East conflict and resulting turmoil in the asphalt concrete market, work was suspended at 140 road construction sites nationwide (16 in Gwangju, 75 in Jeonnam, 8 in Jeonbuk, 14 in Chungbuk, 26 in Gyeongbuk, 3 in Gangwon).

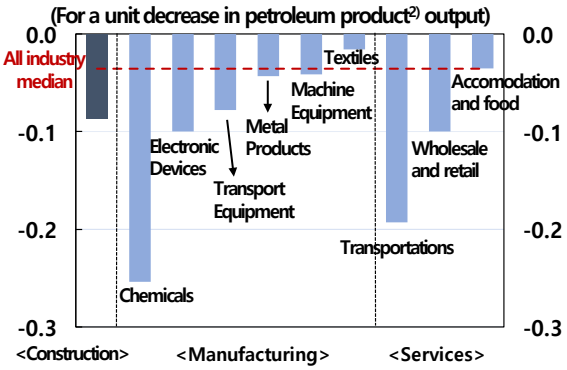
58 According to the government, average crude oil import volumes are expected to recover to over 80% of last year's level during May to July, while naphtha imports are projected to return to more than 90% of their normal volume in May, supported by the supplementary budget and the securing of alternative supplies (Ministry of Trade, Industry and Resources, Middle East War Response Headquarters daily briefing, May 7).

Figure 5. Construction materials inventory[1)]



Note: 1) Intermediate goods for construction, as of end-of-period.
Sources: Ministry of Data and Statistics, Korea Institute of Civil Engineering and Building Technology.

Figure 6. Impact of decrease in petroleum product supply[1)]



Notes: 1) Forward linkage effects of a change in petroleum output on each downstream industry (Ghosh inverse matrix).
2) Petroleum and coal products and mining products are included.
Source: Bank of Korea. authors' own estimation.

(2) Impact of Higher Oil Prices

At this juncture, the impact of construction work suspensions due to shortages of construction materials remains limited; however, the sharp rise[59] in construction material prices is expected to have adverse consequences. Since the construction industry is dominated by long-term contracts, it is difficult for cost adjustments that occur during ongoing projects to be passed on to prices in the short term. Accordingly, when construction costs rise significantly, profitability deteriorates and greater uncertainty over future costs discourages both developers and contractors from launching new projects. In fact, in 2022 and 2023, rising construction costs and higher interest rates led to a substantial decline[60] in construction starts and a marked but delayed contraction in construction investment. Moreover, as construction costs are highly inflexible downward, once they increase, they tend to exert a prolonged negative effect on construction investment.

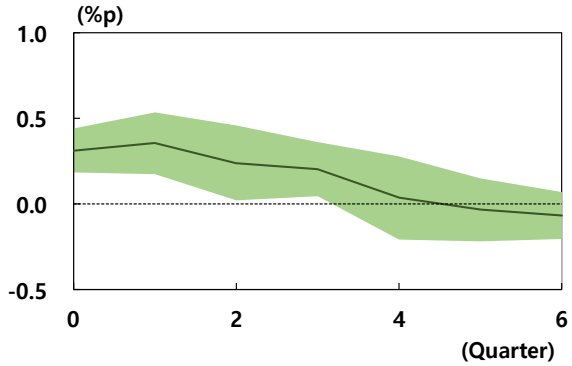
The analysis of the impact of higher oil prices on construction investment indicates that the negative effect reaches its maximum after approximately three to four quarters. The estimation results derived using a local projection model[61] show that construction costs rise significantly immediately after an oil price shock, suggesting that higher oil prices are quickly passed through into construction costs, including spending on construction materials. In contrast, for construction investment, the initial impact of an oil price shock is estimated to be insignificant, but it leads to a significant decline after three to four quarters. This reflects a structural feature of the construction sector, whereby higher construction costs only lead to a contraction in new projects after a certain period. However, when construction costs increase as rapidly as they have recently, even ongoing projects may face delays and stoppages, with negative effects materializing faster and on a larger scale than in past episodes.

[59] ► After the Middle East conflict, construction material prices rose sharply, with concrete admixtures up about 30%, asphalt concrete up 20 to 30%, insulation up 40%, and rebar up 8% (Ministry of Land, Infrastructure and Transport).

[60] ► Construction start areas by year (year-on-year, %): 10.0 in 2020 → 11.0 in 2021 → -20.9 in 2022 → -32.0 in 2023 → 6.7 in 2024 → -12.2 in 2025.

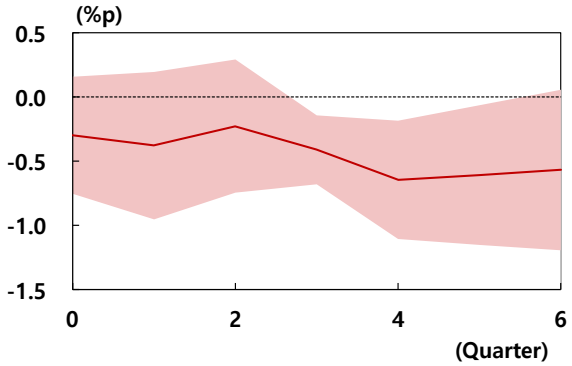
[61] To estimate the dynamic effects of oil price shocks on construction investment and construction costs, we use a local projection model. The analysis period is from the first quarter of 2010 to the fourth quarter of 2025, with GDP construction investment and the construction cost index as dependent variables and Brent crude prices as the shock variable. The control variables are real GDP, 3-year Treasury bond yields, and the KRW/USD exchange rate, each with a lag of one period. All variables are expressed as growth rates over the previous period or, in the case of Treasury bond yields, as changes. Seasonally adjusted series are used for GDP and GDP construction investment.

Figure 7. Impact of higher oil prices on construction costs[1)]



Note: 1) Cumulative effect of a 10% increase in oil prices after *t* quarters, with the shaded area indicating a confidence interval of 90%.
Source: authors' own estimation.

Figure 8. Impact of higher oil prices on construction investment[1)]



Note: 1) Cumulative effect of a 10% increase in oil prices after *t* quarters, with the shaded area indicating a confidence interval of 90%.
Source: authors' own estimation.

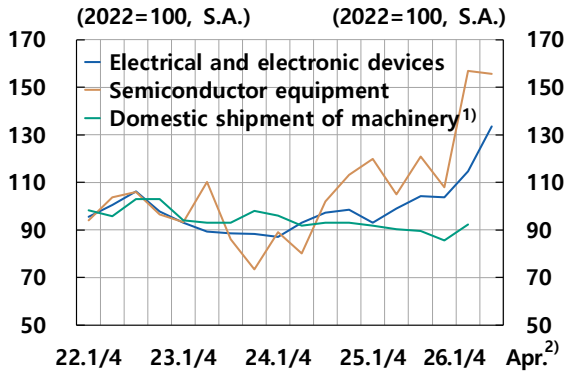
(3) Overall Assessment

Overall, construction investment is projected to improve modestly this year, supported by a significant increase in AI-related investment, including semiconductor plants, as well as expanded public investment. While the impact of supply disruptions following the Middle East conflict is not assessed to be significant so far, uncertainty remains elevated. Moreover, given past experience, where dramatic increases in construction costs during the pandemic and the Russia-Ukraine war were followed by several years of sluggish construction investment, the impact of the current Middle East crisis may also prove more persistent than anticipated. In particular, given that the capacity of small and medium-sized construction companies to absorb shocks has been significantly weakened by the sector's prolonged downturn, the impact of this supply shock could further intensify.

2.4. Facilities investment is projected to exceed the previous forecast, driven by a sharp increase in AI-related investment, particularly in semiconductors. In the first quarter, facilities investment rose sharply quarter on quarter, led by capacity expansion in the semiconductor and display industries and increased purchases of electric vehicles following policy measures to promote the transition to eco-friendly vehicles, including EV subsidies and financial support for replacing aging internal combustion engine vehicles. In the second quarter, facilities investment is expected to decline quarter on quarter, owing to base effects and the exhaustion of a substantial share of EV subsidy funds. Nevertheless, it is projected to continue posting strong year-on-year growth, led mainly by investment in semiconductor equipment and GPUs for data centers. Looking ahead, AI-related investment, including in semiconductors, is expected to remain robust, supported by firms' greater investment capacity amid strong earnings, the expansion of three- to five-year supply agreements with major customers, and government support measures such as the National Growth Fund. By contrast, investment in other industries, including petrochemicals, is likely to remain sluggish, given higher costs and heightened uncertainty stemming from the Middle East war, as well as ongoing restructuring. Accordingly, facilities investment is projected to grow by 4.4% this year, led by AI-related and other high-tech industries, before increasing by 2.7% next year. The projection path will be largely affected by the duration of the Middle East war, the pace of AI diffusion, and tariff-related uncertainty.

Recently, AI facilities' investment in semiconductor equipment and GPUs rose substantially

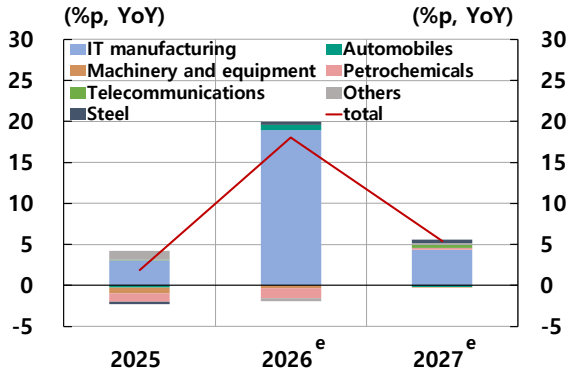
Figure 2.10. Imported semiconductor equipment and electrical and electronic devices, and domestic machinery shipment index



Notes: 1) Domestic machinery shipment index, which is highly correlated with non-IT investment.
2) Quarterly figures are estimated based on data available through April.
Sources: Korea Customs Service, Ministry of Data and Statistics.

This year, facilities investment growth is driven by IT manufacturing

Figure 2.11. Sectoral CapEx outlook for major domestic companies[1)2)]

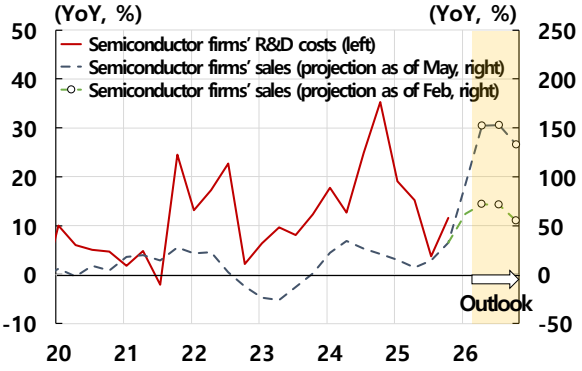


Notes: 1) Sectoral contributions to total CapEx growth, using 2024 sectoral shares of facilities investment as weights.
2) CapEx refers primarily to tangible asset investments, such as facilities and construction, based on consolidated financial statements of listed domestic companies.
Sources: Bloomberg, Research Department.

2.5. Investment in intellectual property products (IPP) is expected to maintain solid growth, driven mainly by research and development at semiconductor firms. In the first quarter, IPP investment increased, supported by higher corporate research and development spending and increased government expenditure. Looking ahead, IPP investment is projected to grow strongly, driven by continued research and development activity, underpinned by favorable earnings at semiconductor companies and increased government support. Furthermore, AI-related software investment is expected to continue expanding amid the broader adoption of AI technologies. Accordingly, IPP investment is projected to increase by 3.5% in 2026 and 3.0% in 2027.

R&D investment is expected to expand mainly among semiconductor firms

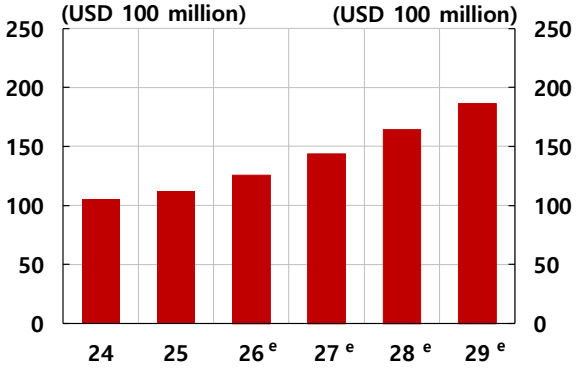
Figure 2.12. Outlook for semiconductor firms'[1] sales[2] and R&D investment



Notes: 1) Based on data for Samsung Electronics and SK Hynix.
2) Projections are as of May 15.
Sources: Bank of Korea, FnGuide.

Steady growth of software investment is anticipated

Figure 2.13. Outlook for software investment by domestic companies

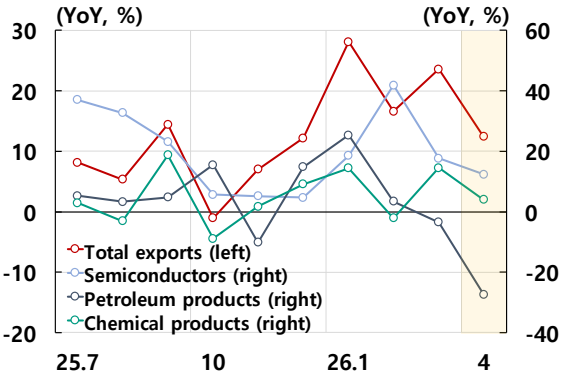


Source: Gartner Market Databook (March 2026).

2.6. Goods exports in real GDP terms are projected to substantially exceed the previous forecast, supported by strong semiconductor demand. In the first quarter, goods exports increased by 5.6% quarter-on-quarter (11.2% year-on-year), as exports of semiconductors and computers (including storage devices for data centers) expanded sharply amid rising demand for memory chips used in AI data centers. Looking ahead, goods export growth is expected to slow from the first-quarter pace, as exports of petroleum and chemical products decline due to the impact of the Middle East conflict, even while exports of semiconductors and computers remain robust. In particular, exports of petroleum and chemical products are likely to be constrained, as shortages of crude oil and naphtha reduce production and lead to greater priority being placed on domestic supply. On an annual basis, goods exports are projected to increase by 4.9% this year and 3.3% next year. **Goods imports in real GDP terms** are projected to increase by 3.0% this year, despite weaker raw material imports, driven by a sharp rise in capital goods imports, particularly semiconductor manufacturing equipment, and a recovery in consumer goods imports. Next year, goods imports are forecast to increase by 3.5%, reflecting an easing of raw material supply constraints and continued improvement in domestic demand.

Export growth weakens compared with the first quarter due to sluggish exports of petroleum and chemical products

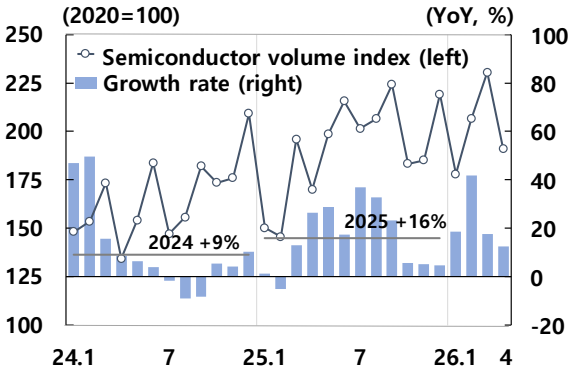
Figure 2.14. Exports volume index



Source: Bank of Korea.

Semiconductor exports are on a solid upward trend

Figure 2.15. Semiconductor exports volume index

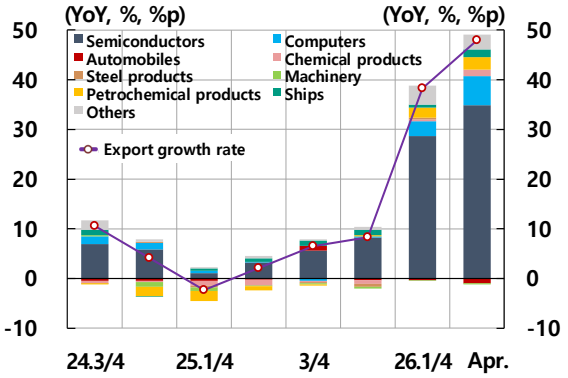


Source: Bank of Korea.

2.7. Exports on a customs-clearance basis (nominal, year-on-year) are projected to significantly exceed the February forecast, supported by robust semiconductor and computer exports. In the first quarter, exports increased by 38.3% year-on-year, led by semiconductors and computers, with the pace of growth widening sharply from 8.4% growth in the previous quarter. In April, exports of semiconductor and computer exports each increased by more than 100%, fueled by higher memory prices and strong demand for SSDs used in data centers. Exports of petroleum products and ships also increased substantially, supported by higher oil prices and deliveries of high-value-added vessels, bringing total export growth to 48.0%. Looking ahead, exports on a customs-clearance basis are expected to maintain a high rate of growth, led by semiconductors and computers, and are expected to exceed USD 900 billion both this year and next year. The future export outlook is highly uncertain, reflecting risks surrounding the global semiconductor industry, raw material supply and demand amid the Middle East conflict, and the trade policies of major economies.

Export growth accelerates, led mainly by semiconductors and computers

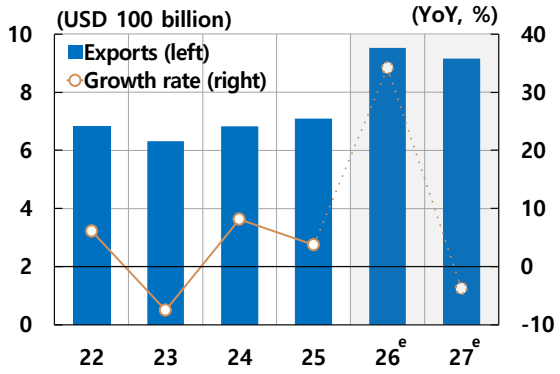
Figure 2.16. Sectoral contributions to exports on a customs-clearance basis



Source: Korea Customs Service.

Exports are likely to exceed USD 900 billion this year and next

Figure 2.17. Outlook for exports on a customs-clearance basis



Sources: Korea Customs Service, Research Department.

FYI 4 Comparison of Korea and Taiwan's Exports of Semiconductors and Related Items

Recently, both Korea and Taiwan have recorded a sharp rise in exports, driven primarily by semiconductors and related products, as global AI infrastructure investment has expanded significantly. In January–April, exports by value on a customs clearance basis for Korea and Taiwan recorded robust growth of 40.9% and 47.8%, respectively, as exports of semiconductors and related items surged by 150.7% and 59.5%, accounting for the bulk of the increase. Driven by this strong performance, Korea and Taiwan's exports for this year are expected to surpass those of Japan and Italy. However, although the recent export upturn appears similar in both economies, **Korea and Taiwan differ markedly in their leading export items and the relative contributions of export prices and volumes, reflecting structural differences in their IT export industries and firms' production models.**

(1) Key Differences 1: Export-Leading Items

Korea's IT exports are heavily concentrated in memory semiconductors and storage devices such as SSDs, while Taiwan has seen broad-based gains across servers, data center components, and non-memory semiconductors. Looking at contributions to export growth from January to April 2026, semiconductors and computers contributed 30.3 percentage points and 3.8 percentage points, respectively, to Korea's exports, whereas for Taiwan, computers and semiconductors accounted for 26.1 percentage points and 14.3 percentage points, respectively, indicating a larger contribution from computers. In particular, exports of items including servers and data center components (HS8471.50 and HS8471.80) increased substantially.

Table 1. Comparison of semiconductor and computer exports of Korea and Taiwan (monthly average, Jan.–Apr. 2026)[1)]

(USD 100 million, %, %p)

Items	Amount		Growth rate(YoY)		Contributions	
	Korea	Taiwan	Korea	Taiwan	Korea	Taiwan
Semiconductors and computers	**308(40)**	**482(73)**	**150.7**	**59.5**	**34.1**	**40.3**
Semiconductors[2)]	277(36)	214(33)	146.5	42.3	30.3	14.3
Electronic integrated circuits(HS8542)	215(28)	209(32)	134.9	43.4	22.7	14.2
Memory(HS8542.32)	174(23)	46(7)	216.7	115.7	21.9	5.6
Non-memory(other)	41(5)	163(25)	12.4	30.8	0.8	8.6
Computers[2)]	31(4)	268(41)	195.9	76.4	3.8	26.1
Servers, data center components, etc(HS8471)	1(0)	235(36)	33.0	110.2	0.0	27.7
SSD(HS8523.51)	27(4)	12(2)	295.0	96.0	3.7	1.3

Notes: 1) Figures in ( ) indicate the share of total exports.
2) Based on export classifications. For Taiwan, the figures were calculated by mapping export classifications to HS codes.
Sources: Korea Customs Service, Taiwan's Ministry of Finance.

This is attributed to **Taiwan's development of a wide-ranging supply chain, spanning from contract manufacturing of advanced semiconductors to server production.** Nvidia not only sells its own custom-designed semiconductors in the form of chips and modules, but has also launched AI servers and outsources server manufacturing to Taiwanese EMS (electronics manufacturing service) firms. In Nvidia's server supply chain, core chips fabricated by TSMC on a foundry basis are packaged together with high-bandwidth memory (HBM) by TSMC, and supplied to EMS firms as AI accelerators (such as the B200, B300, H100, and H200). EMS companies then manufacture AI servers by procuring

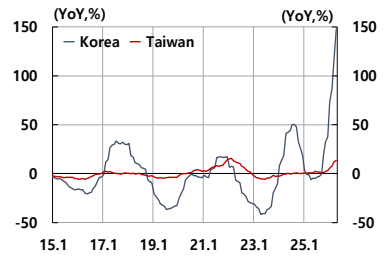
components for communication, power management, and cooling from suppliers of electronics parts and chemical materials. The completed servers are ultimately supplied to cloud service providers. Taiwan is broadly engaged in this server supply chain. Ultimately, Taiwan was able to rapidly scale up manufacturing output from the early stages of AI diffusion, leveraging its broad manufacturing base related to AI infrastructure.

(2) Key Difference 2: Changes in Export Price and Volume

For Korea, the increase in exports of semiconductors and related items has been driven primarily by a sharp rise in prices, whereas for Taiwan, the contribution of export volume growth has been relatively more significant. During January to April, the unit price of Korea's semiconductor exports surged by 106.8%, while export volume grew by a comparatively modest 21.8%. For Taiwan, in contrast, unit prices for semiconductors and information and communication devices, including servers, rose by only about 5% and 12%, respectively, whereas volumes increased markedly by 30.3% and 61.9%.

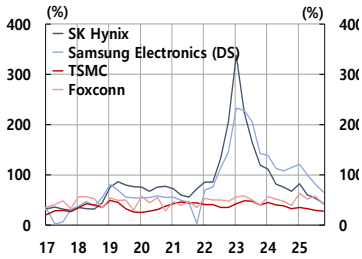
This mainly reflects differences in business models: Korea's memory chip manufacturers primarily produce standardized products[62] in-house, whereas Taiwanese firms supply customized products largely under pre-arranged contracts. Korea's memory chip producers experience large swings in inventories depending on supply and demand conditions, and the resulting inventory overhang often leads to substantial price fluctuations. In particular, in the early phase of AI diffusion, Korean memory chip producers did not actively expand capacity due to demand uncertainty and past experiences of dramatic demand contractions. This limited the increase in export volumes and, in turn, amplified the rise in prices. In contrast, since Taiwanese manufacturers produce largely under advance contracts, they are able to secure a certain level of operating profit margin, and price increases tend to remain limited even when orders rise. Therefore, **in Taiwan, export volumes surged in line with AI-driven demand expansion, whereas in Korea, the adjustment occurred mainly through prices, leading to a significant increase in corporate earnings rather than volumes.**

Figure 1. Semiconductor export price index



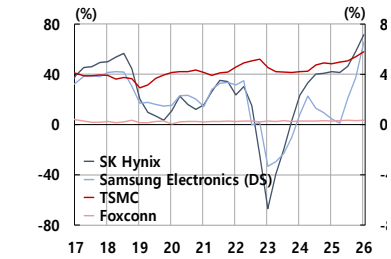
Sources: Bank of Korea, Taiwan's Directorate General of Budget, Accounting and Statistics.

Figure 2. Inventory-to-sales ratio for major IT companies[1)]



Note: 1) Inventory assets / sales.
Source: Bloomberg.

Figure 3. Operating profit margins of major IT companies



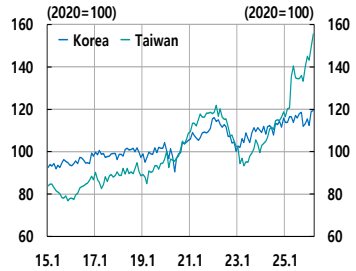
Source: Bloomberg.

[62] However, as Korean firms have recently begun supplying high-performance memory chips, including HBM, on a custom basis, rapid price swings and business cycle fluctuations may become more moderate than in the past.

(3) Macroeconomic Impact Assessment

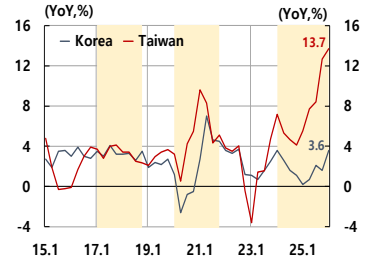
In macroeconomic terms, Taiwan has seen a marked expansion in manufacturing output and a sharp rise in GDP growth since 2024, in line with increased AI infrastructure-related demand, while Korea's GDP growth began to pick up from the second half of 2025 but has remained below that of Taiwan. As discussed above, Taiwan's broad AI infrastructure manufacturing base enabled it to rapidly scale up manufacturing output from the initial stage of AI diffusion, while demand expansion has mainly translated into higher export volumes, given Taiwanese firms' focus on supplying customized products.

Figure 4. Manufacturing output



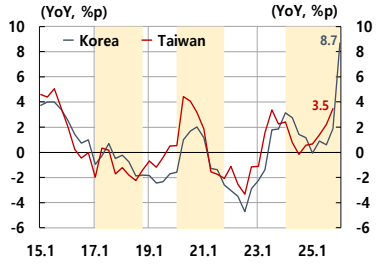
Sources: Ministry of Data and Statistics of Korea, Taiwan's Directorate General of Budget, Accounting and Statistics.

Figure 5. GDP growth[1)]



Note: 1) Shading indicates semiconductor upcycle periods.
Sources: Bank of Korea, Taiwan's Directorate General of Budget, Accounting and Statistics.

Figure 6. Gap between GDP and GDI[1)2)]



Notes: 1) Taiwan's GDP figures are estimates.
2) Shading indicates semiconductor upcycle periods.
Sources: Bank of Korea, Taiwan's Directorate General of Budget, Accounting and Statistics.

For Korea, although the pickup in GDP growth came relatively late, **rising memory chip prices drove a surge in corporate profits and a marked improvement in the terms of trade, widening the gap between GDI and GDP growth rates to an unprecedented level.** Consequently, the strong growth in GDI is expected to feed through to domestic demand over time, with a lag.

<Economic Growth Outlook[1)]>

(YoY, %)

	2025	2026[e)]			2027[e)]		
	Year	H1	H2	Year	H1	H2	Year
GDP growth rate	**1.0**	3.3	2.0	**2.6**	1.6	2.6	**2.1**
		<2.4>	<1.6>	<2.0>	-	-	<1.8>
• Private consumption	**1.3**	2.6	1.5	**2.0**	1.8	2.3	**2.1**
		<2.3>	<1.3>	<1.8>	-	-	<1.8>
• Construction investment	**-9.8**	-0.4	1.6	**0.6**	1.3	1.7	**1.5**
		<-0.8>	<2.6>	<1.0>	-	-	<1.5>
• Facilities investment	**2.0**	4.4	4.3	**4.4**	2.6	2.8	**2.7**
		<2.4>	<2.3>	<2.4>	-	-	<2.0>
• IPP investment	**2.9**	2.8	4.1	**3.5**	3.6	2.4	**3.0**
		<3.4>	<3.5>	<3.5>	-	-	<2.6>
• Goods exports	**3.2**	7.5	2.4	**4.9**	1.2	5.3	**3.3**
		<3.5>	<0.8>	<2.1>	-	-	<2.3>
• Goods imports	**1.9**	3.9	2.1	**3.0**	3.7	3.4	**3.5**
		<3.4>	<1.5>	<2.5>	-	-	<2.6>

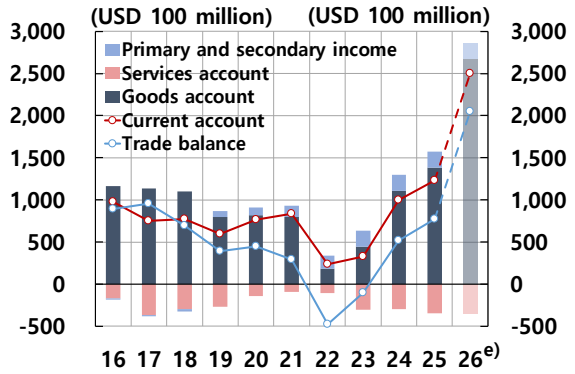
Note: 1) Figures in < > are projections as of February 2026.
Source: Research Department.

Current Account

2.8. The current account surplus is expected to widen substantially, as strong IT exports bolster the goods account despite higher energy imports. In the first quarter, the current account surplus reached USD 73.8 billion, a sharp increase from USD 39.2 billion in the fourth quarter of last year and the largest quarterly surplus on record. This year, the goods account surplus is expected to increase significantly from the previous forecast, supported by stronger-than-expected semiconductor exports, even as imports are expected to rise as well—mainly due to higher raw material prices stemming from the Middle East conflict and expanded facilities investment. The services account deficit is expected to narrow more than previously anticipated, given the recent sharp increase in inbound foreign tourists.[63] Accordingly, the current account surplus is projected to reach USD 250 billion this year.

Current account surplus remains large, led by goods account

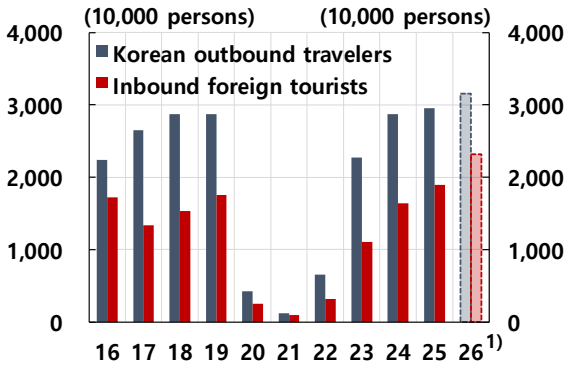
Figure 2.18. Current account balance



Source: Bank of Korea.

Recently, inbound foreign tourism has been robust

Figure 2.19. Inbound foreign tourists and Korean outbound travelers



Note: 1) Figures for 2026 are estimated by applying the first-quarter 2026 growth rate to the 2025 figures.
Source: Korea Culture & Tourism Institute.

[63] Notably, in March 2026, the travel account recorded a surplus of USD 100 million, supported by strong inbound tourism, marking the first travel surplus since November 2014.

<Current Account Outlook[1)]>

(USD 100 million)

	2025	2026[e)]			2027[e)]		
	Year	H1	H2	Year	H1	H2	Year
Current account	**1,231**	1,515	985	**2,500**	1,108	792	1,900
		<863>	<837>	<1,700>	-	-	<1,400>
• Goods	**1,381**	1,616	1,056	**2,672**	1,256	899	2,155
		<980>	<915>	<1,896>	-	-	<1,592>
Exports (value)[2)]	**7,093**	4,768	4,752	**9,520**	4,717	4,448	9,165
	(3.8)	(42.5)	(26.8)	(34.2)	(-1.1%)	(-6.4%)	(-3.7)
Imports (value)[2)]	**6,319**	3,526	3,946	**7,472**	3,764	3,719	7,483
	(0.0)	(14.8)	(21.5)	(18.2)	(6.7%)	(-5.8%)	(0.1)
• Services	**-345**	-153	-203	**-356**	-198	-234	-433
		<-200>	<-212>	<-411>	-	-	<-414>
• Primary and secondary income	**195**	52	131	**184**	50	127	177
		<83>	<134>	<216>	-	-	<221>

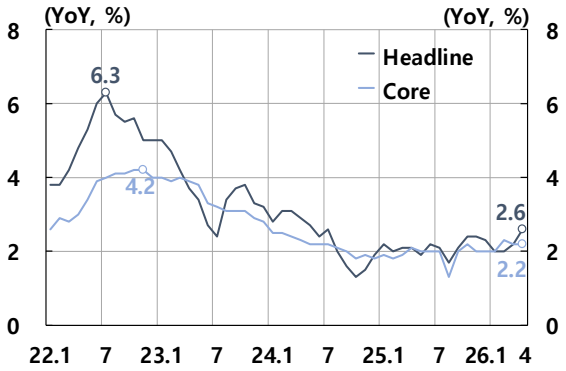
Notes: 1) Figures in < > are projections as of February 2026.
2) Figures in ( ) indicate YoY growth rates (%).
Source: Research Department.

Prices

2.9. Headline inflation in April rose to 2.6% year-on-year from 2.2% in the previous month, reflecting a significant increase in petroleum product prices. Petroleum product prices rose at a faster pace, driven by the sharp increase in global oil prices. However, the implementation of price ceilings and fuel tax cuts has significantly tempered these upward pressures. Food prices remained largely stable, as prices of agricultural, livestock, and marine products declined year-on-year on the back of increased shipments of major items, while processed food price inflation eased due to price cuts for some products and base effects. Core inflation, excluding food and energy, remained at 2.2% year-on-year, unchanged from the previous month. **Household inflation expectations (for the next 12 months) have risen into the upper-2% range.**[64]

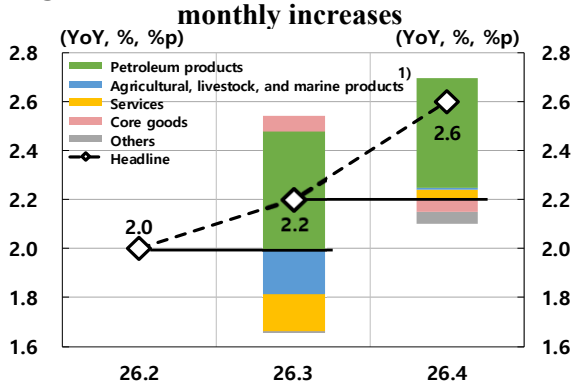
Headline inflation rose to the mid-2% range

Figure 2.20. Headline and core inflation



Source: Ministry of Data and Statistics.

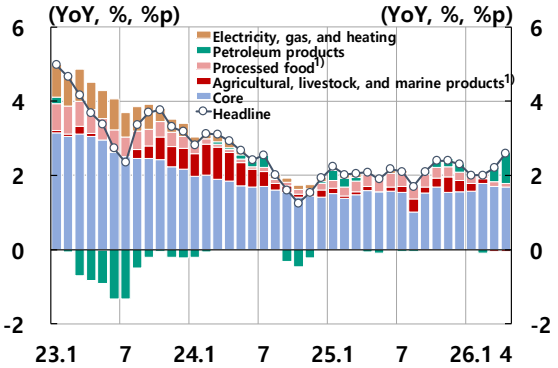
Figure 2.21. Decomposition of differences in monthly increases



Note: 1) Excluding core inflation items.
Sources: Ministry of Data and Statistics, Research Department.

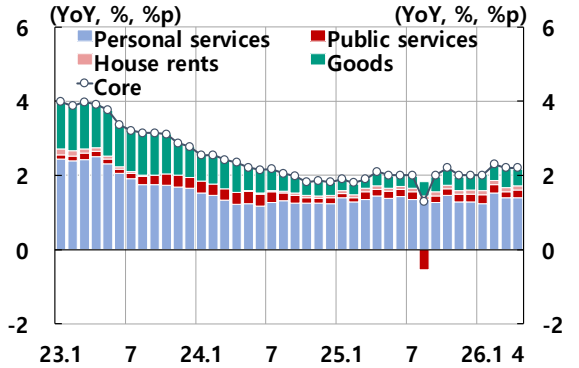
Headline inflation accelerated, driven mainly by higher petroleum product prices

Figure 2.22. Contributions to headline inflation



Note: 1) Excluding core inflation items.
Sources: Ministry of Data and Statistics, Research Department.

Figure 2.23. Contributions to core inflation



Sources: Ministry of Data and Statistics, Research Department.

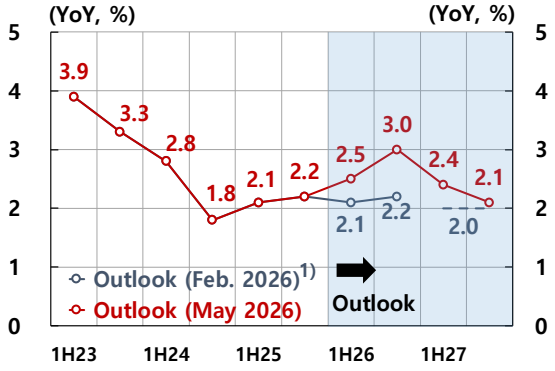
[64] (%)

	Jun. 2025	Jul.	Aug.	Sep.	Oct.	Nov.	Dec.	Jan. 2026	Feb.	Mar.	Apr.	May
BOK households (next 12 months)	2.4	2.5	2.6	2.5	2.6	2.6	2.6	2.6	2.6	2.7	2.9	2.8
Consensus economics professionals (five years ahead)	1.8	1.9	1.9	1.9	1.9	1.9	1.9	1.9	1.9	1.9	1.9	1.9

2.10. This year, headline inflation is projected to reach 2.7%, significantly above the 2.2% forecast in February, reflecting a significant rise in petroleum product prices and the gradual pass-through of high oil prices to other items. Core inflation is also expected to rise to 2.4%, significantly above the 2.1% projected in February. Petroleum product prices are expected to remain elevated amid persistently high oil prices, although government price stabilization measures are likely to partially mitigate upward pressures. Core inflation is projected to rise at a gradually faster pace in the second half of this year, as the oil price shock spreads to industrial products and personal services. Looking ahead, headline inflation is expected to remain elevated until early next year, before gradually declining from the second quarter as base effects from petroleum product prices set in. Core inflation is projected to rise at a pace similar to this year, as demand-side inflationary pressures build even as the effects of earlier supply shocks gradually fade.

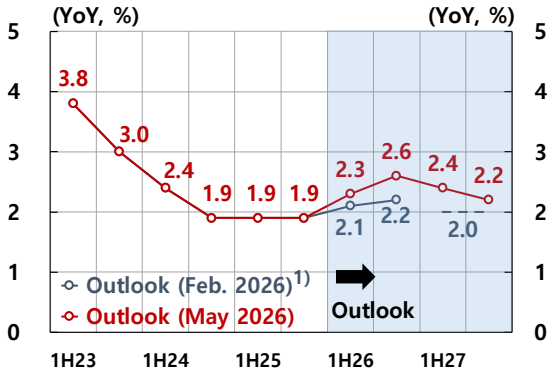
Headline inflation is likely to significantly exceed the previouss projection path due to the oil price shock

Figure 2.24. Headline inflation outlook



Note: 1) Dotted line shows the annual projection for 2027.
Sources: Research Department, Ministry of Data and Statistics.

Figure 2.25. Core inflation outlook



Note: 1) Dotted line shows the annual projection for 2027.
Sources: Research Department, Ministry of Data and Statistics.

Inflation Outlook[1)]

(YoY, %)

	2025	2026[e)]			2027[e)]		
	Year	H1	H2	Year	H1	H2	Year
Headline inflation	**2.1**	2.5 <2.1>	3.0 <2.2>	**2.7** <2.2>	2.4 -	2.1 -	**2.3** <2.0>
• Core inflation[2)]	**1.9**	2.3 <2.1>	2.6 <2.2>	**2.4** <2.1>	2.4 -	2.2 -	**2.3** <2.0>

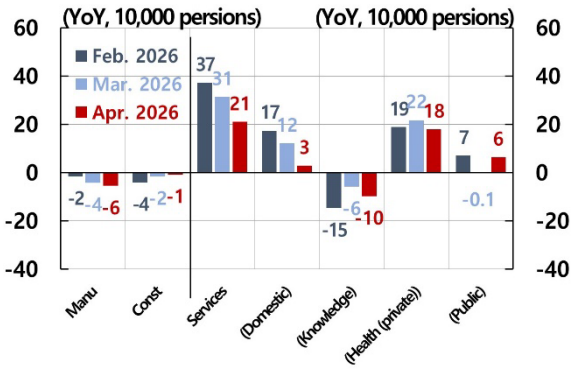
Notes: 1) Figures in < > are projections as of February 2026.
2) Excluding food and energy.
Sources: Ministry of Data and Statistics, Research Department.

Employment

2.11. Employment increased by 74,000 year-on-year in April, sharply down from a gain of 206,000 in the previous month. The recovery in private sector employment, which had continued since the second half of last year, has stalled, as job growth in domestic demand-related services—such as wholesale and retail trade, food and accommodation, and transport and warehousing—slowed markedly, despite continued gains in the health and welfare sector. This likely reflects weaker sentiment[65] among economic agents amid higher oil prices following the Middle East conflict and heightened uncertainty about both domestic and global economic conditions.

Employment in April slowed mainly in domestic demand-related services

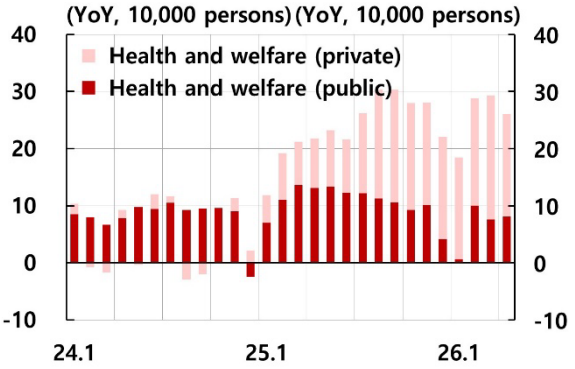
Figure 2.26. Changes in number of employed persons by industry[1] (monthly)



Note: 1) Domestic-demand sectors: wholesale and retail trade, accommodation and food, arts and sports, personal services, transportation and storage, and business support services.
Knowledge-intensive sectors: ICT and professional, scientific and technical services.
Sources: Ministry of Data and Statistics, Research Department.

Employment in health and welfare increased in both the private and public[1] sectors

Figure 2.27. Changes in number of employed persons in health and welfare (monthly)

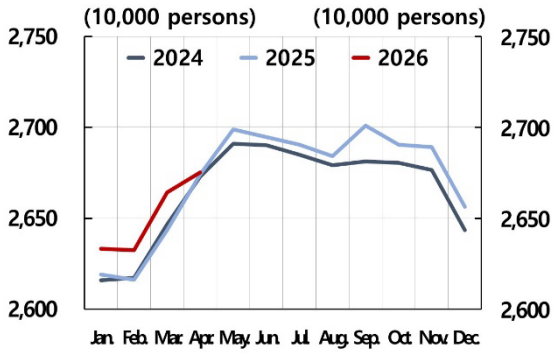


Note: 1) Research Department estimates.
Sources: Ministry of Data and Statistics, Research Department.

[65] ► Economic sentiment index (ESI): 98.8 in Feb. → 94.0 in Mar. → 91.7 in Apr.

Recovery of private sector employment[1] stalls after the Middle East conflict

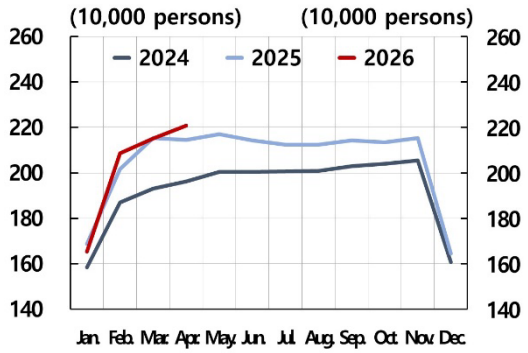
Figure 2.28. Monthly private sector employment[1]



Note: 1) Excludes public jobs (estimates) from total number of employed persons.
Sources: Ministry of Data and Statistics, Research Department.

Public jobs[1] declined in March due to the base effect before rebounding in April

Figure 2.29. Monthly public jobs[1]



Note: 1) Temporary jobs for persons aged 60 and over in health and welfare and public administration (estimates).
Sources: Ministry of Data and Statistics, Research Department.

2.12. For 2026, the number of employed persons is forecast to increase by 180,000, exceeding the February projection of 170,000. Employment is likely to rise modestly above the previous forecast, as job programs in the government's supplementary budget and improving domestic demand support employment growth, despite the negative impact of the war in the Middle East. Private sector employment is likely to keep recovering from the second half of 2025, and public sector employment is expected to rise modestly relative to the last projection. Looking ahead, employment is judged to be significantly affected by developments in the Middle East conflict.

Employment Outlook[1]

(10,000 persons, %)

	2025	2026[e]			2027[e]		
	Year	H1	H2	Year	H1	H2	Year
Employment change[2]	**19**	18	19	**18**	17	18	**17**
		<17>	<18>	<17>	-	-	<15>
Unemployment rate	**2.8**	3.1	2.6	**2.8**	3.0	2.6	**2.8**
		<3.1>	<2.6>	<2.8>	-	-	<2.8>
(S.A.)	-	2.8	2.8	-	2.7	2.8	-
Employment rate[3]	**62.9**	62.7	63.2	**63.0**	62.8	63.3	**63.1**
	[69.8]	[69.9]	[70.5]	**[70.2]**	[69.9]	[70.4]	**[70.2]**

Notes: 1) Figures in < > are projections as of February 2026.
2) Year-on-year.
3) Aged 15 or older, numbers in [ ] are for ages 15–64 based on the OECD standard.
Sources: Ministry of Data and Statistics, Research Department.

3. Risk Assessment

Key Risks to the Outlook

3.1. The growth and inflation forecast paths are subject to exceptionally high uncertainty, particularly surrounding the semiconductor cycle and the Middle East situation.

	Upside risks	Downside risks
Growth	▪Structural shift in semiconductor markets driven by AI demand ▪Rapid recovery of Strait of Hormuz transit ▪Broadening domestic demand recovery supported by income and asset gains	▪Prolonged high oil prices and a shift to tighter monetary policy stances in major economies ▪Investment adjustments amid AI profitability concerns ▪Re-escalation of U.S. tariff policy uncertainty
Inflation	▪Broader pass-through of crude oil and naphtha supply disruptions ▪Stronger demand-side pressure from accelerating growth	▪Decline in oil prices and the exchange rate driven by improvement in the Middle East situation ▪Reinforcement of government price-stabilization measures

Distribution of Market Forecasts

3.2. The median forecasts from major institutions for Korea's 2026 growth and inflation have been revised sharply upward since the February forecast round. Among market participants, the median GDP growth forecast stands at 2.5%, up 0.5 percentage points from the February figure of 2.0%. The CPI inflation forecast has also risen 0.6 percentage points from 2.0% to 2.6%.

The median growth and inflation forecasts for 2026 have been revised up to 2.5% and 2.6%, respectively.

Figure 3.1. Distribution of GDP growth[1] forecasts for 2026

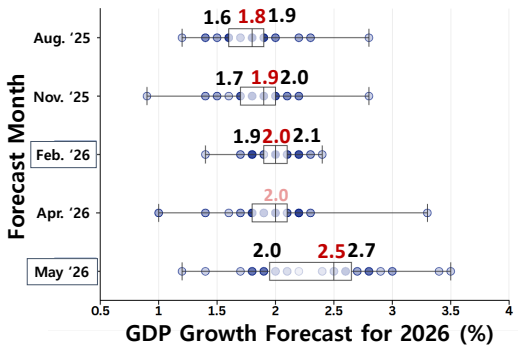
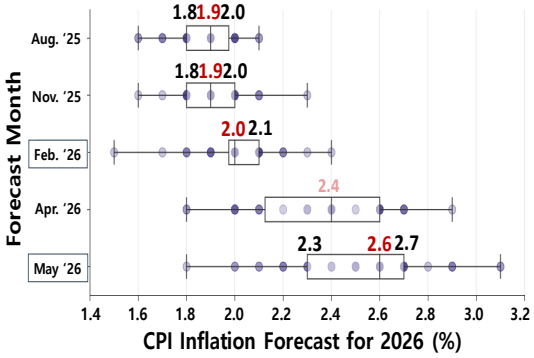
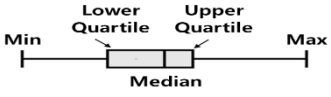


Figure 3.2. Distribution of CPI inflation[2] forecasts for 2026





Notes: 1) Based on 41 to 45 institutions.
2) Based on 34 to 40 institutions.
Source: Bloomberg (Data retrieved on May 14).

Scenario Analysis

3.3. Uncertainty around the projection path is unusually high, particularly regarding both the semiconductor cycle and the Middle East situation. Against this backdrop, the following alternative scenarios are analyzed.

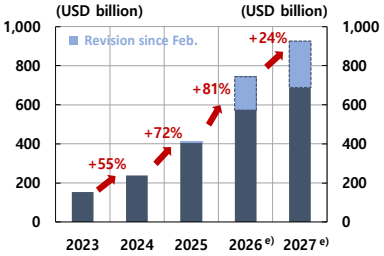
3.4. The semiconductor upcycle has proven stronger than expected, but it is likely to remain highly volatile, depending on how the AI sector evolves. With global AI investment expansion rapidly increasing semiconductor demand while capacity additions proceed gradually, excess demand in the semiconductor market persists, and long-term supply agreements (LTAs) with major buyers are being concluded. Reflecting these supply-and-demand conditions, the **baseline scenario** assumes that semiconductor export volume growth remains near last year's level (16%) this year and to decelerate gradually to around 10% in 2027.

- **[Optimistic scenario]** Semiconductor demand strengthens further on the back of accelerated AI data center investment by Big Tech firms and the expansion of the physical AI market, while domestic suppliers expand production capacity faster than expected through yield improvements and broader LTAs. In this case, semiconductor export volume growth rises to the mid-20% range this year* and remains in the mid-teens next year. Relative to the baseline, **GDP growth** would be **+0.5 percentage points higher in 2026 and +0.3 percentage points higher in 2027**, with **CPI inflation +0.1 percentage point higher in both years**.

  * Comparable to the average of 2017 (28%) and 2021 (18%), past episodes characterized by competitive capacity expansion among suppliers.

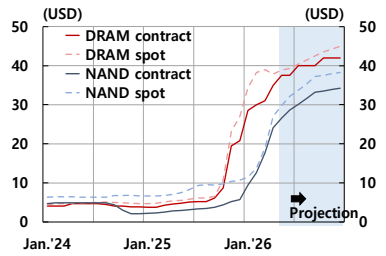
- **[Pessimistic scenario]** In H2 2026, some Big Tech firms moderate the pace of investment amid concerns over AI profitability, while elevated memory prices simultaneously weigh on demand for electronics such as PCs and smartphones. However, LTAs partially offset the downward pressure on demand, so that semiconductor export volume growth decelerates gradually to the low teens this year before falling to single digits next year. Under this scenario, **GDP growth** would be **0.3 percentage points lower in 2026 and 0.2 percentage points lower in 2027**, with the **CPI** impact **limited this year and 0.1 percentage point lower in 2027.**

Figure 3.3. U.S. big tech CapEx[1] forecast



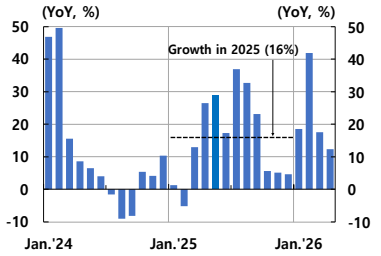
Note: 1) Sum of five firms: Amazon, Google, Microsoft, Meta, and Oracle.
Source: Bloomberg.

Figure 3.4. Memory chip prices[1]



Note: 1) 16GB DDR5 for DRAM; 128GB MLC for NAND.
Source: TrendForce (May 2026).

Figure 3.5. Semiconductor export volume index



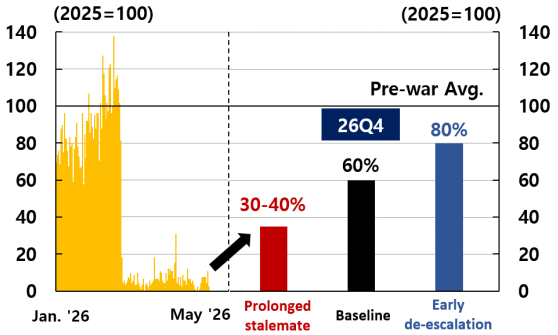
Source: Bank of Korea.

3.5. Regarding the Middle East war, although the situation shifted toward negotiations in early April, considerable uncertainty persists over when transit through the Strait of Hormuz will resume and when the energy supply chain will fully normalize. **The baseline scenario** assumes that, as U.S.–Iran negotiations progress, transit through the Strait of Hormuz gradually resumes, recovering to around 60% of pre-war levels by year-end. Under this assumption, Brent crude price is expected to rise to an average of USD 103/barrel in Q2 before easing to the mid-USD 90s in H2.

- **[Early de-escalation]** U.S.–Iran negotiations are concluded smoothly and Strait of Hormuz transit resumes promptly, recovering to around 80% of pre-war levels by year-end. In this case, oil prices stabilize rapidly, falling to an average of USD 80/barrel in H2. Relative to the baseline, **GDP growth** would be **0.1 percentage point higher in both 2026 and 2027**, with **CPI inflation 0.2 percentage points lower in 2026 and 0.3 percentage points lower in 2027**.

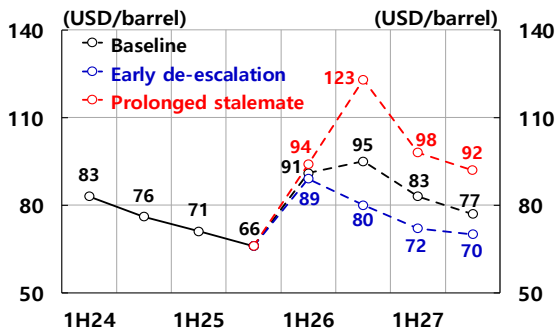
- **[Prolonged stalemate]** The closure of the Strait of Hormuz persists, with transit remaining at low levels (around 30–40%, less than half of pre-war volumes) through year-end. Brent crude rises to an average in the mid-USD 120s in H2 and remains above USD 100/barrel even at year-end; deteriorating global energy supply and demand conditions lead to widening production disruptions, particularly in industries with high dependence on imported commodities. Relative to the baseline, **GDP growth** would be **0.5 percentage points lower in 2026 and 0.3 percentage points lower in 2027**, with **CPI inflation 0.3 percentage points higher in 2026 and 0.5 percentage points higher in 2027.**

Figure 3.6. Strait of Hormuz transit assumptions



Sources: IMF PortWatch, Research Department.

Figure 3.7. Brent crude oil price assumptions



Sources: Bloomberg, Bank of Korea, Research Department.

Table 3.1. Key assumptions by Middle East scenario

	Baseline		Early de-escalation		Prolonged stalemate	
	2026e)	2027e)	2026e)	2027e)	2026e)	2027e)
▶ Brent crude	USD 93	USD 80	USD 85	USD 71	USD 108	USD 95
▶ Global growth	2.9%	3.1%	+0.1pp	+0.1pp	-0.4pp	-0.2pp

Note: 1) Deviations of global GDP growth from the baseline projection are shown for each scenario.

3.6. If the semiconductor cycle and the Middle East situation were to evolve simultaneously in either the optimistic or the pessimistic direction, the impact on the Korean economy—transmitted through financial conditions, consumer and business sentiment, and corporate profitability—would exceed the simple arithmetic sum of the individual scenarios. In particular, under the joint pessimistic scenario, adverse feedback loops between financial conditions and the real economy would emerge, further amplifying the growth slowdown.

Table 3.2. GDP growth and inflation outlook by scenario

GDP growth

(%, pp)	2025	2026[e)]	2027[e)]
Baseline	1.0	2.6	2.1
Semiconductor cycle (optimistic)		+0.5	+0.3
Semiconductor cycle (pessimistic)		-0.3	-0.2
Middle East (early de-escalation)		+0.1	+0.1
Middle East (prolonged stalemate)		-0.5	-0.3

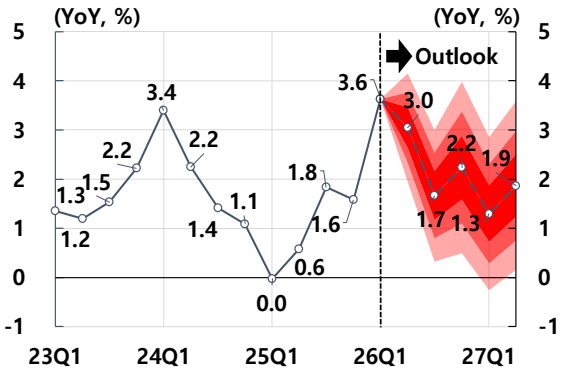
CPI inflation

(%, pp)	2025	2026[e)]	2027[e)]
Baseline	2.1	2.7	2.3
Semiconductor cycle (optimistic)		+0.1	+0.1
Semiconductor cycle (pessimistic)		-	-0.1
Middle East (early de-escalation)		-0.2	-0.3
Middle East (prolonged stalemate)		+0.3	+0.5

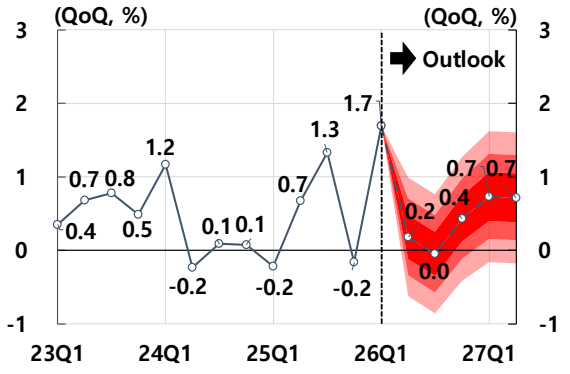
BOX Quarterly Forecasts for the One-Year-Ahead Horizon

GDP Growth

Outlook for GDP growth[1] (YoY)



Outlook for GDP Growth[1] (QoQ)



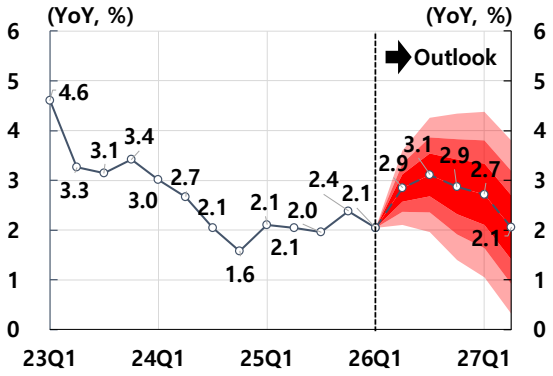
Note: 1) Uncertainty has been estimated using forecast errors from the past 10 years. Shaded areas, starting from darker to lighter colors, represent 30%, 50%, and 70%, respectively.
Sources: Research Department, Office of Economic Modeling & Policy Analysis.

(YoY, %)	2025			2026				2027[e]	
	Q2	Q3	Q4	Q1	Q2[e]	Q3[e]	Q4[e]	Q1	Q2
GDP growth rate	**0.6**	**1.8**	**1.6**	**3.6**	**3.0**	**1.7**	**2.2**	**1.3**	**1.9**
(QoQ, %)	0.7	1.3	-0.2	1.7	0.2	0.0	0.4	0.7	0.7

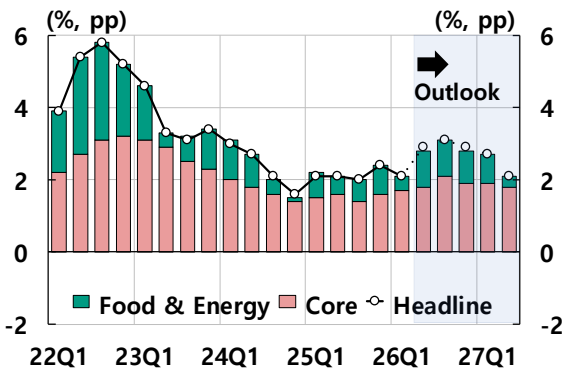
Source: Research Department.

CPI Inflation

Outlook for headline CPI inflation[1]



Contribution to headline CPI inflation



Note: 1) Uncertainty has been estimated using forecast errors from the past 10 years. Shaded areas, starting from darker to lighter colors, represent 30%, 50%, and 70%, respectively.
Sources: Research Department, Office of Economic Modeling & Policy Analysis.

(YoY, %)	2025			2026				2027[e]	
	Q2	Q3	Q4	Q1	Q2[e]	Q3[e]	Q4[e]	Q1	Q2
CPI inflation	**2.1**	**2.0**	**2.4**	**2.1**	**2.9**	**3.1**	**2.9**	**2.7**	**2.1**
• Core inflation[1]	2.0	1.7	2.0	2.2	2.3	2.7	2.5	2.5	2.3

Note: 1) Excluding food and energy.
Source: Research Department.

<Appendix> Key Economic Indicators

[Global Economy]

	(change from previous period, %)	2024	2025					2026				
			Year	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	Apr
United States	GDP growth[1]	2.8	2.1	-0.6	3.8	4.4	0.5	2.0	-	-	-	-
	Industrial Production[2]	-0.7	1.1	1.0	0.5	0.5	-0.5	0.5	0.0	0.6	-0.3	0.7
	Retail sales	3.0	3.7	0.4	0.7	1.4	0.4	1.3	0.0	0.9	1.6	0.5
	CPI inflation[3]	2.9	2.6	2.7	2.4	2.9	2.7	2.7	2.4	2.4	3.3	3.8
	Changes in Non-Farm Payrolls(1,000s)	1,826	764	205	169	34	-91	120	160	-156	185	115
Euro Area	GDP growth	0.9	1.4	0.6	0.1	0.3	0.2	0.1	-	-	-	-
	Industrial Production[2]	-3.0	1.5	2.3	-0.5	-0.1	0.3	-0.9	-0.7	0.2	0.2	..
	Retail sales	1.2	2.5	0.5	0.8	0.3	0.6	-0.2	-0.1	-0.3	-0.1	..
	Customs Exports[4]	0.6	2.3	7.5	-6.0	0.0	-0.8	0.4	-1.6	0.6	2.1	..
	CPI inflation[3]	2.4	2.1	2.4	2.0	2.1	2.1	2.0	1.7	1.9	2.6	3.0
China	GDP growth[3]	5.0	5.0	5.4	5.2	4.8	4.5	5.0	-	-	-	-
	Industrial Production[2][3][6]	5.8	5.9	6.5	6.2	5.8	5.0	5.7	-	6.3	5.7	4.1
	Retail sales[3][6]	3.5	3.7	4.6	5.4	3.4	1.7	2.4	-	2.8	1.7	0.2
	Fixed Investment[3][5][6]	3.2	-3.8	4.2	2.8	-0.5	-3.8	1.7	-	1.8	1.7	-1.6
	Customs Exports[3]	5.8	5.5	5.6	6.1	6.5	3.8	14.7	10.0	39.6	2.5	14.1
	CPI inflation[3]	0.2	0.0	-0.1	0.0	-0.2	0.6	0.8	0.2	1.3	1.0	1.2

Notes: 1) Annualized rate. 2) Based on the mining and manufacturing industry. 3) Year-on-year changes.
4) Excluding intra-region trade. 5) Cumulative. 6) February 2026 data are cumulative figures for January and February
Sources: Fed, BEA, BLS, Eurostat, National Bureau of Statistics of China, GACC.

[Global Energy Prices]

(avg. over time)	2024	2025					2026					
		Year	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	Apr	May[3]
Dubai Oil[1]	80	69	77	67	70	64	88	62	68	129	106	103
Brent Oil[1]	80	68	75	67	68	63	78	65	69	100	103	105
Europe Natural Gas[2]	35	36	47	36	33	30	40	34	32	53	45	47

Notes: 1) USD/barrel. 2) Euro/MWh 3) Averages of May 1~26.
Sources: Bloomberg.

[Korea's Economy]

(change from previous period, %)	2024	2025					2026				
		Year	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	Apr
GDP growth	2.0	1.0	-0.2	0.7	1.3	-0.2	1.7	-	-	-	-
Retail sales	-1.9	0.3	0.6	-0.6	1.2	0.6	2.4	2.8	-0.3	1.8	..
(year-on-year)			(-0.8)	(-0.1)	(1.6)	(0.9)	(3.3)	(0.5)	(4.3)	(5.0)	..
Facilities Investment	3.0	1.2	-2.2	0.3	0.6	-3.8	12.6	5.0	14.6	1.5	..
(year-on-year)			(5.4)	(5.5)	(1.2)	(-6.2)	(9.5)	(13.6)	(6.2)	(9.2)	..
Construction Completed	-4.6	-16.5	-7.2	-2.6	-0.8	-4.1	1.2	-7.8	13.0	-7.3	..
(year-on-year)			(-21.1)	(-17.3)	(-11.9)	(-15.1)	(-5.6)	(-7.0)	(-4.3)	(-5.4)	..
Customs exports[1)]	6,836	7,093	1,595	1,751	1,849	1,898	2,206	658	676	872	859
(year-on-year)	(8.1)	(3.8)	(-2.3)	(2.1)	(6.5)	(8.4)	(38.3)	(33.9)	(29.2)	(50.2)	(48.0)
Customs imports[1)]	6,318	6,319	1,528	1,544	1,625	1,622	1,694	571	519	604	621
(year-on-year)	(-1.7)	(0.0)	(-1.3)	(-1.7)	(1.6)	(1.4)	(10.8)	(11.6)	(7.3)	(13.3)	(16.7)

Notes: 1) Values are in USD 100 million.
Sources: Bank of Korea, Ministry of Data and Statistics, Korea Customs Services.

(year-on-year, %)		2024	2025					2026				
			Year	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	Apr
Price	CPI Inflation	2.3	2.1	2.1	2.1	2.0	2.4	2.1	2.0	2.0	2.2	2.6
	Core inflation[1)]	2.2	1.9	1.9	2.0	1.7	2.0	2.2	2.0	2.3	2.2	2.2
Current Account	Current Account[2)]	1,000	1,231	195	284	360	392	738	133	232	373	..
	Goods	1,109	1,381	220	359	376	426	736	152	234	351	..
	Services	-294	-345	-82	-81	-77	-106	-70	-38	-19	-13	..
	Primary and secondary income	185	195	57	6	61	71	71	19	17	35	..
Employment	Employment Change[3)]	15.9	19.3	15.5	20.7	21.6	19.5	18.3	10.8	23.4	20.6	7.4
	Unemployment Rate(S.A., %)	2.8	2.8	2.8	2.7	2.7	2.9	2.9	3.0	2.9	2.7	2.8

Notes: 1) Excluding food and energy. 2) Values are in USD 100 million. 3) 10k persons.
Source: Bank of Korea, Ministry of Data and Statistics.

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